

Hilltops Council

ANNUAL FINANCIAL STATEMENTS
for the year ended 30 June 2019



Hilltops Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2019



General Purpose Financial Statements

for the year ended 30 June 2019

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Overview

Hilltops Council is constituted under the Local Government Act 1993 (NSW) and has its principal place of business at:

189 Boorowa Street
Young NSW 2594

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note 2(b).

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: www.hilltops.nsw.gov.au.

Hilltops Council

General Purpose Financial Statements

for the year ended 30 June 2019

Statement by Councillors and Management made pursuant to Section 413(2)(c) of the Local Government Act 1993 (NSW) (as amended)

The attached General Purpose Financial Statements have been prepared in accordance with:

- the *Local Government Act 1993* (NSW) (as amended) and the regulations made thereunder,
- the Australian Accounting Standards and other pronouncements of the Australian Accounting Standards Board
- the *Local Government Code of Accounting Practice and Financial Reporting*.

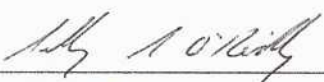
To the best of our knowledge and belief, these statements:

- present fairly the Council's operating result and financial position for the year
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 29 January 2020.



Brian Ingram
Mayor
30 April 2020

Anthony O'Reilly
General Manager
30 April 2020

John Hughes
Responsible Accounting Officer
30 April 2020

Income Statement

for the year ended 30 June 2019

Original unaudited budget 2019	\$ '000	Notes	Actual 2019	Actual 2018 ¹
Income from continuing operations				
<u>Revenue:</u>				
22,116	Rates and annual charges	3a	22,385	21,786
18,340	User charges and fees	3b	14,302	12,017
1,237	Interest and investment revenue	3c	1,281	1,457
849	Other revenues	3d	569	748
17,546	Grants and contributions provided for operating purposes	3e,3f	20,645	17,089
13,203	Grants and contributions provided for capital purposes	3e,3f	10,825	4,347
<u>Other income:</u>				
—	Net gains from the disposal of assets	5	459	550
73,291	Total income from continuing operations		70,466	57,994
Expenses from continuing operations				
17,368	Employee benefits and on-costs	4a	21,224	20,239
877	Borrowing costs	4b	1,323	1,164
22,275	Materials and contracts	4c	22,390	15,524
13,876	Depreciation and amortisation	4d	16,991	15,848
6,629	Other expenses	4e	4,540	4,966
—	Revaluation decrement / impairment of IPP&E	4d	646	299
61,025	Total expenses from continuing operations		67,114	58,040
12,266	Operating result from continuing operations		3,352	(46)
12,266	Net operating result for the year		3,352	(46)
12,266	Net operating result attributable to council		3,352	(46)
(937)	Net operating result for the year before grants and contributions provided for capital purposes		(7,473)	(4,393)

⁽¹⁾ The Council has not restated comparatives when initially applying AASB 9. The comparative information has been prepared under AASB 139 *Financial Instruments: Recognition and Measurement*

The above Income Statement should be read in conjunction with the accompanying notes.

Statement of Comprehensive Income

for the year ended 30 June 2019

\$ '000	Notes	2019	2018 ¹
Net operating result for the year (as per Income Statement)		3,352	(46)
Other comprehensive income:			
Amounts which will not be reclassified subsequently to the operating result			
Gain (loss) on revaluation of IPP&E	9(a)	3,475	20,730
Total items which will not be reclassified subsequently to the operating result		3,475	20,730
Amounts which will be reclassified subsequently to the operating result when specific conditions are met			
Realised (gain) loss on financial assets at fair value through other comprehensive income		785	—
Total items which will be reclassified subsequently to the operating result when specific conditions are met		785	—
Total other comprehensive income for the year		4,260	20,730
Total comprehensive income for the year		7,612	20,684
Total comprehensive income attributable to Council		7,612	20,684

(1) The Council has not restated comparatives when initially applying AASB 9. The comparative information has been prepared under AASB 139 *Financial Instruments: Recognition and Measurement*

The above Statement of Comprehensive Income should be read in conjunction with the accompanying notes.

Statement of Financial Position

as at 30 June 2019

\$ '000	Notes	2019	2018 ¹
ASSETS			
Current assets			
Cash and cash equivalent assets	6(a)	11,361	28,663
Investments	6(b)	27,056	21,315
Receivables	7	18,739	9,656
Inventories	8a	875	1,090
Other	8b	26	1
Total current assets		58,057	60,725
Non-current assets			
Infrastructure, property, plant and equipment	9(a)	573,966	563,109
Total non-current assets		573,966	563,109
TOTAL ASSETS		632,023	623,834
LIABILITIES			
Current liabilities			
Payables	10	7,639	6,467
Income received in advance	10	499	454
Borrowings	10	1,343	1,344
Provisions	11	7,036	6,633
Total current liabilities		16,517	14,898
Non-current liabilities			
Payables	10	30	555
Borrowings	10	10,513	11,865
Provisions	11	8,219	7,384
Total non-current liabilities		18,762	19,804
TOTAL LIABILITIES		35,279	34,702
Net assets		596,744	589,132
EQUITY			
Accumulated surplus	12	571,754	568,402
Revaluation reserves	12	24,205	20,730
Other reserves	12	785	—
Council equity interest		596,744	589,132
Total equity		596,744	589,132

(1) The Council has not restated comparatives when initially applying AASB 9. The comparative information has been prepared under AASB 139 *Financial Instruments: Recognition and Measurement*

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

Statement of Changes in Equity

for the year ended 30 June 2019

\$ '000	Notes	2019				2018 ¹			
		Accumulated surplus	IPP&E revaluation reserve	Financial assets at FVOCI	Total equity	Accumulated surplus	IPP&E revaluation reserve	Financial assets at FVOCI	Total equity
Opening balance		568,402	20,730	–	589,132	568,448	–	–	568,448
Restated opening balance		568,402	20,730	–	589,132	568,448	–	–	568,448
Net operating result for the year as reported in the 2018 financial statements		3,352	–	–	3,352	(46)	–	–	(46)
Restated net operating result for the period		3,352	–	–	3,352	(46)	–	–	(46)
Other comprehensive income									
– Gain (loss) on revaluation of IPP&E	9(a)	–	3,475	–	3,475	–	20,730	–	20,730
– Realised (gain) loss on financial assets at fair value through other comprehensive income		–	–	785	785	–	–	–	–
Other comprehensive income		–	3,475	785	4,260	–	20,730	–	20,730
Total comprehensive income		3,352	3,475	785	7,612	(46)	20,730	–	20,684
Equity – balance at end of the reporting period		571,754	24,205	785	596,744	568,402	20,730	–	589,132

⁽¹⁾ The Council has not restated comparatives when initially applying AASB 9. The comparative information has been prepared under *AASB 139 Financial Instruments: Recognition and Measurement*

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

Statement of Cash Flows

for the year ended 30 June 2019

Original unaudited budget 2019	\$ '000	Notes	Actual 2019	Actual 2018
Cash flows from operating activities				
	<u>Receipts</u>			
22,116	Rates and annual charges		21,871	21,189
18,340	User charges and fees		13,229	11,633
1,237	Investment and interest revenue received		1,259	1,633
30,750	Grants and contributions		30,374	24,580
–	Bonds, deposits and retention amounts received		–	25
849	Other		(1,529)	1,157
	<u>Payments</u>			
(17,269)	Employee benefits and on-costs		(21,867)	(19,313)
(22,275)	Materials and contracts		(28,780)	(16,543)
(827)	Borrowing costs		(1,437)	(816)
–	Bonds, deposits and retention amounts refunded		(84)	–
(6,629)	Other		519	(4,140)
26,292	Net cash provided (or used in) operating activities		13,555	19,405
Cash flows from investing activities				
	<u>Receipts</u>			
13,486	Sale of investment securities		17,250	20,138
–	Sale of real estate assets		(2)	216
864	Sale of infrastructure, property, plant and equipment		973	1,222
–	Deferred debtors receipts		1	4
	<u>Payments</u>			
–	Purchase of investment securities		(22,206)	–
(45,600)	Purchase of infrastructure, property, plant and equipment		(25,531)	(20,025)
–	Purchase of real estate assets		11	(55)
(31,250)	Net cash provided (or used in) investing activities		(29,504)	1,500
Cash flows from financing activities				
	<u>Receipts</u>			
3,120	Proceeds from borrowings and advances		–	–
	<u>Payments</u>			
(1,601)	Repayment of borrowings and advances		(1,353)	(5,784)
1,519	Net cash flow provided (used in) financing activities		(1,353)	(5,784)
(3,439)	Net increase/(decrease) in cash and cash equivalents		(17,302)	15,121
–	Plus: cash and cash equivalents – beginning of year	13a	28,663	13,542
(3,439)	Cash and cash equivalents – end of the year	13a	11,361	28,663
Additional Information:				
–	plus: Investments on hand – end of year	6(b)	27,056	21,315
(3,439)	Total cash, cash equivalents and investments		38,417	49,978

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

Notes to the Financial Statements

for the year ended 30 June 2019

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Notes to the Financial Statements

for the year ended 30 June 2019

Note 1. Basis of preparation

These financial statements were authorised for issue by Council on 28 February 2020. Council has the power to amend and reissue these financial statements.

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below.

These policies have been consistently applied to all the years presented, unless otherwise stated.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993 (NSW)* and Regulations, and the Local Government Code of Accounting Practice and Financial Reporting.

Council is a not for-profit entity.

The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

Unless otherwise indicated, all amounts disclosed in the financial statements are actual amounts. Specific budgetary amounts have been included for comparative analysis (to actuals) in the following reports and notes:

- Income statement
- Statement of cash flows
- Note 17 – Material budget variations

and are clearly marked.

(a) New and amended standards adopted by Council

During the year, Council adopted all standards which were mandatorily effective for the first time at 30 June 2019.

Those newly adopted standards which had an impact on reported position, performance and/or disclosures have been discussed in Note 15.

(b) Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain financial assets and liabilities and certain classes of infrastructure, property, plant and equipment and investment property.

(c) Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- (i) estimated fair values of infrastructure, property, plant and equipment – refer Note 9
- (ii) estimated tip remediation provisions – refer Note 11
- (iii) employee benefit provisions – refer Note 11.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 1. Basis of preparation (continued)

Significant judgements in applying the council's accounting policies

(i) Impairment of receivables

Council has made a significant judgement about the impairment of a number of its receivables – refer Note 7.

Monies and other assets received by Council

(a) The Consolidated Fund

In accordance with the provisions of Section 409(1) of the Local Government Act 1993 (NSW), all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

General purpose operations
Water service
Sewerage service
Section 355 Committees of Council
South West Regional Waste Management Group
South West Rural Fire Service

(b) The Trust Fund

In accordance with the provisions of Section 411 of the *Local Government Act 1993 (NSW)* (as amended), a separate and distinct Trust Fund is maintained to account for all money and property received by the council in trust which must be applied only for the purposes of, or in accordance with, the trusts relating to those monies.

Trust monies and property subject to Council's control have been included in these reports.

Goods and Services Tax (GST)

Revenues, expenses and assets are recognised net of the amount of associated GST, unless the GST incurred is not recoverable from the taxation authority. In this case it is recognised as part of the cost of acquisition of the asset or as part of the expense.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to the taxation authority is included with other receivables or payables in the Statement of Financial Position.

Cash flows are presented on a gross basis. The GST components of cash flows arising from investing or financing activities that are recoverable from, or payable to, the taxation authority are presented as operating cash flows.

New accounting standards and interpretations issued not yet effective

New accounting standards and interpretations issued but not yet effective

Certain new accounting standards and interpretations have been published that are not mandatory for 30 June 2019 reporting periods (and which have not been early adopted by Council).

Council's assessment of these new standards and interpretations (where they have been deemed as having a material impact on Council's future financial performance, financial position and cash flows) are set out below:

AASB 16 Leases

AASB 16 will result (for YE 19/20 and beyond) in almost all operating leases being recognised on the balance sheet by Council (alongside existing finance leases) with the distinction between operating and finance leases removed.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 1. Basis of preparation (continued)

Under the new standard, a financial liability (ie. a lease liability) and an asset (ie. a right to use the leased item) will be recognised for nearly all arrangements where Council commits itself to paying a rental fee for the use of a specific asset.

The only exceptions are short-term and low-value leases which are exempt from the accounting (but not disclosure) requirements of AASB 16 - Leases.

Council staff have reviewed all of Council's leasing arrangements over the last 12 months taking into consideration the new lease accounting rules in AASB 16 (applicable from 1/7/19).

At the end of this reporting period, Council has non-cancellable operating lease commitments of \$2k- refer Note 16. The impact of AASB16 is expected to be immaterial to the financial statements.

Council's activities as a lessor are not material and hence Council does not expect any significant impact on the financial statements. However, some additional disclosures will be required from next year.

AASB 15 Revenue from Contracts with Customers and associated amending standards

AASB15 introduces a five-step process for revenue recognition, with the core principle of the new standard being for entities to recognise revenue to depict the transfer of goods or services to customers in amounts that reflect the consideration (that is, payment) to which the entity expects to be entitled in exchange for those goods or services.

The changes in revenue recognition requirements in AASB 15 may cause changes to the timing and amount of revenue recorded in the financial statements as well as additional disclosures.

Based on comprehensive analysis of council's income streams, AASB15 is expected to have a material impact in the next financial year. Council will have to recognise a \$14.047 million reduction in capital grants revenue with an associated increase in liability on transition date. The liability represents the amount of unsatisfied performance obligations as at 30 June 2019 for uncompleted grants. The full amount of grant income was recognised in the current (and prior) financial years as required under existing AASB 1004 Contributions.

AASB 1058 Income of NFP Entities

AASB 1058 supersedes all the income recognition requirements relating to councils, previously in AASB 1004 Contributions. Under AASB 1058 the future timing of income recognition will depend on whether the transaction gives rise to a liability or other performance obligation (a promise to transfer a good or service) related to an asset (such as cash or another asset) received by an entity.

AASB 1058 also applies when a council receives volunteer services or enters into other transactions in which the consideration to acquire an asset is significantly less than the fair value of the asset, and where the council's objective is principally to enable the asset to further the council's objectives.

Upon initial recognition of the asset, this standard requires council to consider whether any other financial statement elements (called 'related amounts') should be recognised in accordance with the applicable accounting standard, such as:

- (a) contributions by owners
- (b) revenue, or a contract liability arising from a contract with a customer
- (c) a lease liability
- (d) a financial instrument, or
- (e) a provision.

If the transaction is a transfer of a financial asset to enable council to acquire or construct a recognisable non-financial asset to be controlled by council (i.e. an in-substance acquisition of a non-financial asset), the council recognises a liability for the excess of the fair value of the transfer over any related amounts recognised. Council will then recognise income as it satisfies its obligations under the transfer similarly to income recognition in relation to performance obligations under AASB 15.

If the transaction does not enable council to acquire or construct a recognisable non-financial asset to be controlled by council, then any excess of the initial carrying amount of the recognised asset over the related amounts is recognised as income. Following a comprehensive review of all existing and future council's income streams, council expects a significant impact on financial reporting in the next financial year.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 1. Basis of preparation (continued)

Based on our review, council will have to recognise a \$2,964 million reduction in capital grants revenue with an associated increase in liability on transition date. The liability represents amount of unsatisfied performance obligation as at 30 June 2019 for uncompleted grants.

AASB 2018-8 Amendments to Australian Accounting Standards – Right-of-Use Assets of Not-for-Profit Entities

This Standard provides a temporary option for not-for-profit entities to not apply the fair value initial measurement requirements for right-of-use assets arising under leases with significantly below market terms and conditions, principally to enable the entity to further its objectives (for example, concessionary or peppercorn leases).

The Standard requires an entity that elects to apply the option (i.e. measures a class or classes of such right-of-use assets at cost rather than fair value) to include additional disclosures in the financial statements to ensure users understand the effects on the financial position, financial performance and cash flows of the entity arising from these leases

The specific impacts of AASB2018-8 for Council are not expected to be material. Council has not applied any pronouncements before its operative date in the annual reporting period beginning 1 July 2018

Apart from those standards listed above, there are no other released standards (with future effective dates) that are expected to have a material impact on Council.

Council has not elected to apply any pronouncements before their operative date in these financial statements.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 2(a). Council functions/activities – financial information

Income, expenses and assets have been directly attributed to the following functions or activities.
Details of those functions or activities are provided in Note 2(b).

\$ '000	Income from continuing operations		Expenses from continuing operations		Operating result from continuing operations		Grants included in income from continuing operations		Total assets held (current and non-current)	
	2019	2018	2019	2018	2019	2018	2019	2018	2019	2018
Functions or activities										
Governance	–	–	201	1,080	(201)	(1,080)	–	–	–	–
Administration	8,786	1,388	13,234	328	(4,448)	1,060	2,684	115	118,500	62,334
Public Order and Safety	344	719	1,439	1,537	(1,095)	(818)	291	406	118	1,587
Health	49	45	649	141	(600)	(96)	4	22	–	9
Environment	5,902	5,297	6,807	6,091	(905)	(794)	159	44	15,489	6,535
Community Services and Education	(9)	2	327	459	(336)	(457)	3	1	–	3,150
Housing and community amenities	696	437	2,219	2,107	(1,523)	(1,670)	91	119	1,430	1,260
Water Supplies	9,906	8,338	6,533	7,153	3,373	1,185	–	504	57,195	53,191
Sewerage Supplies	4,347	4,271	225	3,481	4,122	790	–	72	47,647	51,611
Recreation and culture	1,204	1,207	6,388	7,838	(5,184)	(6,631)	8,192	102	24,620	21,850
Mining, manufacturing and construction	272	409	986	577	(714)	(168)	–	781	878	51
Transport and communication	14,743	10,272	22,764	23,860	(8,021)	(13,588)	6,921	5,289	361,848	415,672
Economic affairs	2,231	4,072	5,342	3,388	(3,111)	684	22	–	123	6,584
General purpose Income	21,995	21,537	–	–	21,995	21,537	8,194	8,010	4,171	–
Other	–	–	–	–	–	–	–	–	4	–
Total functions and activities	70,466	57,994	67,114	58,040	3,352	(46)	26,561	15,465	632,023	623,834

Notes to the Financial Statements

for the year ended 30 June 2019

Note 2(b). Council functions/activities - component descriptions

Details relating to the Council's functions/activities as reported in Note 2(a) are as follows:

Governance

Includes costs relating to Council's role as a component of democratic government, including elections, members fees and expenses, subscriptions to local authority associations, meetings of Council and policy-making committees, public disclosure (e.g. GIPA), and legislative compliance.

Administration

Includes corporate support and other support services, engineering works, and any Council policy compliance.

Public order and safety

Includes Council's fire and emergency services levy, fire protection, emergency services, enforcement of regulations and animal control.

Health

Includes immunisation, food control, health centres etc.

Environment

Includes emerging weeds and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage and stormwater management.

Community services and education

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration (excluding accommodation – as it is covered under 'housing and community amenities'); youth services; aged and disabled persons services; childrens services; and other children services.

Housing and community amenities

Includes public cemeteries; public conveniences; street lighting; town planning; other community amenities, including housing development and accommodation for families and children, aged persons, disabled persons, migrants and Indigenous persons.

Water supplies

Sewerage supplies

Recreation and culture

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; and other sporting, recreational and cultural services.

Mining, manufacturing and construction

Includes building control, quarries and pits.

Transport and communication

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, and aerodromes.

Economic affairs

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; saleyards and markets; real estate development; and other business undertakings.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 3. Income from continuing operations

\$ '000	2019	2018
(a) Rates and annual charges		
Ordinary rates		
Residential	4,390	4,376
Farmland	6,679	6,551
Mining	19	19
Business	1,216	1,206
Rates levied to ratepayers	12,304	12,152
Pensioner rate subsidies received	272	182
Total ordinary rates	12,576	12,334
Special rates		
Stormwater levy	116	115
Rates levied to ratepayers	116	115
Total special rates	116	115
Annual charges		
Domestic waste management services	1,844	1,659
Water supply services	2,800	2,746
Sewerage services	4,064	3,982
Waste management services (non-domestic)	317	284
Section 611 charges	1	10
Recycling	283	255
Greenwaste	200	190
Annual charges levied	9,509	9,126
Pensioner subsidies received:		
– Water	111	72
– Sewerage	60	61
– Domestic waste management	13	78
Total annual charges	9,693	9,337
TOTAL RATES AND ANNUAL CHARGES	22,385	21,786

Council has used 2017 year valuations provided by the NSW Valuer General in calculating its rates.

Accounting policy for rates and charges

Rates and annual charges are recognised as revenue when the Council obtains control over the assets comprising these receipts.

Pensioner rebates relate to reductions in rates and certain annual charges for eligible pensioners' place of residence in the local government council area that are not subsidised by the NSW Government.

Pensioner rate subsidies are received from the NSW Government to provide a contribution towards the pensioner rebates.

Control over assets acquired from rates and annual charges is obtained at the commencement of the rating year as it is an enforceable debt linked to the rateable property or, where earlier, upon receipt of the rates.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 3. Income from continuing operations (continued)

\$ '000	2019	2018
(b) User charges and fees		
Specific user charges		
(per s.502 - specific 'actual use' charges)		
Water supply services	6,272	4,769
Sewerage services	58	57
Waste management services (non-domestic)	69	46
Trade waste	6	4
Total specific user charges	6,405	4,876
Other user charges and fees		
(i) Fees and charges – statutory and regulatory functions (per s.608)		
Building regulation	34	65
Inspection services	25	40
Planning and building regulation	254	307
Private works – section 67	156	923
Regulatory/ statutory fees	44	60
Section 149 certificates (EPA Act)	48	47
Section 603 certificates	38	46
Town planning	7	23
Animal	16	18
Environment protection	1	6
Total fees and charges – statutory/regulatory	623	1,535
(ii) Fees and charges – other (incl. general user charges (per s.608))		
Caravan park	192	223
Cemeteries	245	255
Gravel pits	93	3
Lease rentals	486	530
Leaseback fees – Council vehicles	53	84
Library and art gallery	16	19
Park rents	33	36
Recycling income (non-domestic)	11	18
RMS (formerly RTA) charges (state roads not controlled by Council)	5,047	3,230
Saleyards	1	2
Swimming centres	100	79
Tourism	25	2
Waste disposal tipping fees	811	985
Water connection fees	51	57
Truckwash	14	11
Water plan fees	7	4
Septic tank fees	49	37
Sewer plan fees	35	28
Sewer connection fees	1	–
Other	4	3
Total fees and charges – other	7,274	5,606
TOTAL USER CHARGES AND FEES	14,302	12,017

Accounting policy for user charges and fees

User charges and fees are recognised as revenue when the service has been provided.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 3. Income from continuing operations (continued)

\$ '000	2019	2018
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(c) Interest and investment revenue (including losses)

Interest on financial assets measured at amortised cost

– Overdue rates and annual charges (incl. special purpose rates)	154	141
– Cash and investments	1,121	1,313
– Deferred debtors	–	1
– Other	6	2

TOTAL INTEREST AND INVESTMENT REVENUE

1,281 1,457

Interest revenue is attributable to:

Unrestricted investments/financial assets:

Overdue rates and annual charges (general fund)	155	141
General Council cash and investments	1,070	1,234

Restricted investments/funds – external:

Development contributions		
– Section 7.11	2	30
– Section 64	17	21
Water fund operations	30	26
Sewerage fund operations	7	5

Total interest and investment revenue

1,281 1,457

Accounting policy for interest and investment revenue

Interest income is recognised using the effective interest rate at the date that interest is earned.

Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 3. Income from continuing operations (continued)

\$ '000	2019	2018
(d) Other revenues		
Fines – parking	13	23
Fines – other	13	27
Legal fees recovery – rates and charges (extra charges)	3	45
Legal fees recovery – other	–	1
Commissions and agency fees	16	15
Diesel rebate	–	154
Insurance claim recoveries	40	29
Sales – general	100	86
Promotion and trade fairs	1	6
Insurance incentives and rebates	93	163
Dividend southern phone	21	23
Sale of scrap metal	11	27
Section 355 committee	40	26
Sale of garbage bins	7	6
Training incentives	3	1
Workers compensation reimbursement	76	66
Other	132	50
<u>TOTAL OTHER REVENUE</u>	<u>569</u>	<u>748</u>

Accounting policy for other revenue

Council recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the Council and specific criteria have been met for each of the Council's activities as described below. Council bases its estimates on historical results, taking into consideration the type of customer, the type of transaction and the specifics of each arrangement.

Parking fees and fines are recognised as revenue when the service has been provided, or when the penalty has been applied, whichever occurs first.

Rental income is accounted for on a straight-line basis over the lease term.

Miscellaneous sales are recognised when physical possession has transferred to the customer which is deemed to be the point of transfer of risks and rewards.

Other revenue is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

Rental income is accounted for on a straight-line basis over the lease term.

Miscellaneous sales are recognised when physical possession has transferred to the customer which is deemed to be the point of transfer of risks and rewards.

Other income is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 3. Income from continuing operations (continued)

\$ '000	Operating 2019	Operating 2018	Capital 2019	Capital 2018
(e) Grants				
General purpose (untied)				
Current year allocation				
Financial assistance – general component	2,608	2,491	–	–
Financial assistance – local roads component	1,414	1,375	–	–
Payment in advance - future year allocation				
Financial assistance – general component	2,718	2,556	–	–
Financial assistance – local roads component	1,454	1,406	–	–
Total general purpose	8,194	7,828	–	–
Specific purpose				
Water supplies	–	124	–	–
Bushfire and emergency services	268	185	7	221
Employment and training programs	7	17	–	–
Flood restoration	311	1,441	–	–
Heritage and cultural	44	51	–	–
Library – per capita	66	96	–	–
Library – special projects	–	–	20	–
LIRS subsidy	56	72	–	–
Noxious weeds	159	122	–	–
Recreation and culture	553	5	–	650
Street lighting	91	91	–	–
Transport (roads to recovery)	2,399	2,086	–	–
Transport (other roads and bridges funding)	–	–	4,190	1,762
Youth services	3	1	–	–
Health programs	(8)	22	–	–
New Council Implementation Funds	2,600	–	–	–
Stronger Community Funds	–	–	6,067	646
Other	271	–	–	–
Rail Siding	1,250	–	–	–
Other	–	45	13	–
Total specific purpose	8,070	4,358	10,297	3,279
Total grants	16,264	12,186	10,297	3,279
Grant revenue is attributable to:				
– Commonwealth funding	11,850	7,633	2,447	1,953
– State funding	4,402	4,553	7,850	25
– Other funding	12	–	–	1,301
	16,264	12,186	10,297	3,279

Notes to the Financial Statements

for the year ended 30 June 2019

Note 3. Income from continuing operations (continued)

\$ '000	Notes	Operating 2019	Operating 2018	Capital 2019	Capital 2018
(f) Contributions					
Developer contributions: (s7.4 & s7.11 - EP&A Act, s64 of the LGA):					
Cash contributions					
S 7.11 – contributions towards amenities/services		159	128	268	336
S 7.12 – fixed development consent levies		–	–	30	76
S 64 – water supply contributions		–	–	11	60
S 64 – sewerage service contributions		–	–	9	32
Total developer contributions – cash		159	128	318	504
Total developer contributions	20	159	128	318	504
Other contributions:					
Cash contributions					
Bushfire services		1	2	–	–
Other councils – joint works/services		1,860	1,845	–	–
Recreation and culture		20	50	–	100
RMS contributions (regional roads, block grant)		2,313	2,839	188	457
Sewerage (excl. section 64 contributions)		–	–	–	1
Water supplies (excl. section 64 contributions)		–	–	2	2
Waste		–	21	–	–
Other		–	18	–	4
Other		28	–	20	–
Total other contributions – cash		4,222	4,775	210	564
Total other contributions		4,222	4,775	210	564
Total contributions		4,381	4,903	528	1,068
TOTAL GRANTS AND CONTRIBUTIONS		20,645	17,089	10,825	4,347

Accounting policy for grants and contributions

Control over grants and contributions is normally obtained upon their receipt (or acquittal) and is valued at the fair value of the granted or contributed asset at the date of transfer.

Where grants or contributions recognised as revenues during the financial year were obtained on condition that they be expended in a particular manner, or used over a particular period, and those conditions were un-discharged at reporting date, the unused grant or contribution is disclosed below.

Council has obligations to provide facilities from contribution revenues levied on developers under the provisions of sections 7.4, 7.11 and 7.12 of the *Environmental Planning and Assessment Act 1979*.

While Council generally incorporates these amounts as part of a Development Consents Order, such developer contributions are only recognised as income upon receipt by Council, due to the possibility that individual development consents may not be acted upon by the applicant and, accordingly, would not be payable to Council.

Developer contributions may only be expended for the purposes for which the contributions were required, but the Council may apply contributions according to the priorities established in work schedules.

A liability is recognised in respect of revenue that is reciprocal in nature to the extent that the requisite service has not been provided at reporting date.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 3. Income from continuing operations (continued)

\$ '000	2019	2018
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(g) Unspent grants and contributions

Certain grants and contributions are obtained by Council on condition that they be spent in a specified manner:

Operating grants

Unexpended at the close of the previous reporting period	4,723	19,977
Add: operating grants recognised in the current period but not yet spent	–	327
Add: operating grants received for the provision of goods and services in a future period	–	–
Less: operating grants recognised in a previous reporting period now spent	(4,147)	(15,581)
Unexpended and held as restricted assets (operating grants)	576	4,723

Capital grants

Unexpended at the close of the previous reporting period	104	–
Add: capital grants recognised in the current period but not yet spent	54	104
Add: capital grants received for the provision of goods and services in a future period	–	–
Less: capital grants recognised in a previous reporting period now spent	(104)	–
Unexpended and held as restricted assets (capital grants)	54	104

Contributions

Unexpended at the close of the previous reporting period	2,040	1,953
Add: contributions recognised in the current period but not yet spent	527	685
Add: contributions received for the provision of goods and services in a future period	–	–
Add: contributions recognised as income in the current period obtained in respect of a future rating identified by Council for the purpose of establishing a rate	–	–
Less: contributions recognised in a previous reporting period now spent	(251)	(598)
Unexpended and held as restricted assets (contributions)	2,316	2,040

Notes to the Financial Statements

for the year ended 30 June 2019

Note 4. Expenses from continuing operations

\$ '000	2019	2018
(a) Employee benefits and on-costs		
Salaries and wages	16,839	15,984
Travel expenses	34	19
Employee leave entitlements (ELE)	3,196	2,477
Superannuation	1,676	1,662
Workers' compensation insurance	873	1,064
Fringe benefit tax (FBT)	–	69
Payroll tax	161	61
Training costs (other than salaries and wages)	291	248
Protective clothing	63	73
WH&S expenses	23	29
Other	102	105
Total employee costs	23,258	21,791
Less: capitalised costs	(2,034)	(1,552)
TOTAL EMPLOYEE COSTS EXPENSED	21,224	20,239
Number of 'full-time equivalent' employees (FTE) at year end	255	243

Accounting policy for employee benefits and on-costs

Employee benefit expenses are recorded when the service has been provided by the employee.

Retirement benefit obligations

All employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Superannuation plans

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

Council participates in a defined benefit plan under the Local Government Superannuation Scheme, however, sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note 15 for more information.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 4. Expenses from continuing operations (continued)

\$ '000	Notes	2019	2018
(b) Borrowing costs			
(i) Interest bearing liability costs			
Interest on overdraft		2	–
Interest on loans		503	887
Total interest bearing liability costs expensed		505	887
(ii) Other borrowing costs			
Fair value adjustments on recognition of advances and deferred debtors			
– Remediation liabilities	11	818	277
Total other borrowing costs		818	277
<u>TOTAL BORROWING COSTS EXPENSED</u>		<u>1,323</u>	<u>1,164</u>

Accounting policy for borrowing costs

Borrowing costs incurred for the construction of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Other borrowing costs are expensed.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 4. Expenses from continuing operations (continued)

\$ '000	2019	2018
(c) Materials and contracts		
Raw materials and consumables	21,507	20,019
Contractor and consultancy costs	8,247	7,179
– RTA works	191	187
– Private works	–	7
– Security services	43	27
– IT support services	1,345	202
– Town planning	60	22
– Regional landfill receival charges	1,224	796
– Waste haulage	1,099	783
Auditors remuneration ²	181	126
Legal expenses:		
– Legal expenses: planning and development	3	36
– Legal expenses: debt recovery	3	49
– Legal expenses: other	26	52
Operating leases:		
– Operating lease rentals: minimum lease payments ¹	32	41
Water acquisition costs	987	2,192
Water purchase	3,536	1,428
Swimming pool	(23)	17
Total materials and contracts	38,461	33,163
Less: capitalised costs	(16,071)	(17,639)
TOTAL MATERIALS AND CONTRACTS	22,390	15,524

Accounting policy for operating leases

Leases in which a significant portion of the risks and rewards of ownership are not transferred to Council as lessee are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessor) are charged to the income statement on a straight-line basis over the period of the lease.

1. Operating lease payments are attributable to:

Other	32	41
	32	41

2. Auditor remuneration

During the year, the following fees were incurred for services provided by the auditor of Council, related practices and non-related audit firms

Auditors of the Council - NSW Auditor-General:**(i) Audit and other assurance services**

Audit and review of financial statements	154	90
Remuneration for audit and other assurance services	154	90

Total Auditor-General remuneration

	154	90
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Non NSW Auditor-General audit firms**(i) Audit and other assurance services**

Internal audit	27	36
Remuneration for audit and other assurance services	27	36

Total remuneration of non NSW Auditor-General audit firms

	27	36
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Total Auditor remuneration

	181	126
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Notes to the Financial Statements

for the year ended 30 June 2019

Note 4. Expenses from continuing operations (continued)

\$ '000	Notes	2019	2018
(d) Depreciation, amortisation and impairment of intangible assets and IPP&E			
Depreciation and amortisation			
Plant and equipment		2,136	2,244
Office equipment		47	63
Furniture and fittings		39	41
Land improvements (depreciable)		4	4
Infrastructure:			
– Buildings – non-specialised		813	464
– Buildings – specialised		2,526	1,824
– Other structures		218	74
– Roads		7,677	7,565
– Bridges		527	517
– Footpaths		106	100
– Stormwater drainage		315	309
– Water supply network		916	897
– Sewerage network		1,139	1,116
– Swimming pools		148	151
– Other open space/recreational assets		284	402
Other assets:			
– Library books		85	63
Reinstatement, rehabilitation and restoration assets:			
– Quarry assets	9(a), 11	11	14
Total gross depreciation and amortisation costs		16,991	15,848
Total depreciation and amortisation costs		16,991	15,848
Impairment / revaluation decrement of IPP&E			
Land – Community land		–	299
Infrastructure:			
– Roads		612	–
– Bridges		34	–
Total gross IPP&E impairment / revaluation decrement costs / (reversals)		646	299
Total IPP&E impairment / revaluation decrement costs / (reversals) charged to Income Statement		646	299
TOTAL DEPRECIATION, AMORTISATION AND IMPAIRMENT / REVALUATION DECREMENT FOR INTANGIBLES AND IPP&E		17,637	16,147

Accounting policy for depreciation, amortisation and impairment expenses of intangibles and IPP&E**Depreciation and amortisation**

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives. Useful lives are included in Note 9 for IPPE assets.

Impairment of non-financial assets

Council assets held at fair value that are not held primarily for their ability to generate net cash flow, and that are deemed to be specialised, are no longer required to be tested for impairment under AASB 136. This is because these assets are assessed on an annual basis to ensure that the carrying amount is not materially different from fair value and therefore an impairment loss would be captured during this assessment.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 4. Expenses from continuing operations (continued)

Intangible assets that have an indefinite useful life, or are not yet available for use, are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets that do not meet the criteria above are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows that are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets that suffered an impairment are reviewed for possible reversal of the impairment at each reporting date.

Impairment losses for revalued assets are firstly offset against the amount in the revaluation surplus for the class of asset, with only the excess to be recognised in the Income Statement.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 4. Expenses from continuing operations (continued)

\$ '000	2019	2018
(e) Other expenses		
Advertising	109	112
Bad and doubtful debts	30	8
Bank charges	64	65
Cleaning	44	–
Cost of sales	60	6
Computer software charges	27	199
Contributions/levies to other levels of government		
– Emergency services levy (includes FRNSW, SES, and RFS levies)	606	643
– South Western rural fire zone	–	33
Councillor expenses – mayoral fee	31	23
Councillor expenses – councillors' fees	126	107
Councillors' expenses (incl. mayor) – other (excluding fees above)	75	79
Donations, contributions and assistance to other organisations (Section 356)	186	243
– ROC membership	41	51
– Section 355 committees and community events	–	26
– Water utilities alliance	1	9
– Shires Association	53	50
Election expenses	–	171
Electricity and heating	864	646
Insurance	591	1,084
Office expenses (including computer expenses)	87	–
Postage	92	103
Printing and stationery	140	116
Street lighting	266	248
Subscriptions and publications	186	132
Telephone and communications	323	339
Valuation fees – land rates	104	83
Licence fees	85	51
Lease property	40	126
Promotion and trade fairs	77	91
Other	232	122
Total other expenses	4,540	4,966
TOTAL OTHER EXPENSES	4,540	4,966

Accounting policy for other expenses

Other expenses are recorded on an accruals basis as the Council receives the goods or services.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 5. Gains or losses from the disposal, replacement and de-recognition of assets

\$ '000	Notes	2019	2018
Property (excl. investment property)			
Proceeds from disposal – property		132	50
Less: carrying amount of property assets sold/written off		–	(278)
Net gain/(loss) on disposal		132	(228)
Plant and equipment			
	9(a)		
Proceeds from disposal – plant and equipment		841	1,172
Less: carrying amount of plant and equipment assets sold/written off		(512)	(412)
Net gain/(loss) on disposal		329	760
Real estate assets held for sale			
	8		
Proceeds from disposal – real estate assets		(2)	216
Less: carrying amount of real estate assets sold/written off		–	(198)
Net gain/(loss) on disposal		(2)	18
Investments			
	6(b)		
Proceeds from disposal/redemptions/maturities – financial assets		17,250	–
Less: carrying amount of financial assets sold/redeemed/matured		(17,250)	–
Net gain/(loss) on disposal		–	–
NET GAIN/(LOSS) ON DISPOSAL OF ASSETS		459	550

Accounting policy for disposal of assets

Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in the Income Statement.

The gain or loss on sale of an asset is determined when control of the asset has irrevocably passed to the buyer and the asset is de-recognised.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 6(a). Cash and cash equivalent assets

\$ '000	2019	2018
Cash and cash equivalents		
Cash on hand and at bank	8,764	11,913
Cash-equivalent assets		
– Short-term deposits	2,597	16,750
Total cash and cash equivalents	11,361	28,663

Accounting policy for cash and cash equivalents

For Statement of Cash Flow presentation purposes, cash and cash equivalents include: cash on hand; deposits held at call with financial institutions; other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value; and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the Statement of Financial Position.

Note 6(b). Investments

\$ '000	2019 Current	2019 Non-current	2018 Current	2018 Non-current
Investments				
a. 'Financial assets at fair value through profit and loss'				
b. 'Financial assets at amortised cost' / 'held to maturity' (2018)	26,268	–	21,315	–
d. 'Financial assets at fair value through other comprehensive income' / 'available for sale financial assets' (2018)	788	–	–	–
Total Investments	27,056	–	21,315	–
TOTAL CASH ASSETS, CASH EQUIVALENTS AND INVESTMENTS	38,417	–	49,978	–
Financial assets at amortised cost / held to maturity (2018)				
Long term deposits	26,268	–	21,312	–
Other long term financial assets	–	–	3	–
Total	26,268	–	21,315	–
Financial assets at fair value through other comprehensive income / available for sale financial assets				
Other long term financial assets	788	–	–	–
Total	788	–	–	–

Council has held a share in 'Southern Phone' for many years. As at 1 July 2018, Council was not able to recognise a 'fair value' because there was not a market or an 'arms length' buyer for the share. At finalisation of these Statements, Council has been advised regarding a buyer and a value for its share. Council is now able to provide a 'fair value' and has included this value as at 30 June 2019.

Accounting policy for investments**Accounting policy under AASB 9 – applicable from 1 July 2018**

Financial instruments are recognised initially on the date that the Council becomes party to the contractual provisions of the instrument.

On initial recognition, all financial instruments are measured at fair value plus transaction costs (except for instruments measured at fair value through profit or loss where transaction costs are expensed as incurred).

Notes to the Financial Statements

for the year ended 30 June 2019

Note 6(b). Investments (continued)

Financial assets

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification

On initial recognition, Council classifies its financial assets into the following categories – those measured at:

- amortised cost
- fair value through profit and loss (FVTPL)
- fair value through other comprehensive income – equity instrument (FVOCI-equity)

Financial assets are not reclassified subsequent to their initial recognition.

Amortised cost

Assets measured at amortised cost are financial assets where:

- the business model is to hold assets to collect contractual cash flows, and
- the contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Council's financial assets measured at amortised cost comprise trade and other receivables and cash and cash equivalents in the Statement of Financial Position.

Subsequent to initial recognition, these assets are carried at amortised cost using the effective interest rate method less provision for impairment.

Interest income, impairment and gains or loss on de-recognition are recognised in profit or loss.

Fair value through other comprehensive income – equity instruments

Council has a number of strategic investments in entities over which they do not have significant influence nor control. Council has made an irrevocable election to classify these equity investments as fair value through other comprehensive income as they are not held for trading purposes.

These investments are carried at fair value with changes in fair value recognised in other comprehensive income (financial asset reserve). On disposal any balance in the financial asset reserve is transferred to accumulated surplus and is not reclassified to profit or loss.

Other net gains and losses excluding dividends are recognised in Other Comprehensive Income Statement.

Financial assets through profit or loss

All financial assets not classified as measured at amortised cost or fair value through other comprehensive income as described above are measured at fair value through profit or loss.

Net gains or losses, including any interest or dividend income, are recognised in profit or loss.

Council's financial assets measured at fair value through profit or loss comprise investments in FRNs and NCDs in the Statement of Financial Position.

Accounting policy under AASB 139 – applicable for 2018 comparatives only

Classification

Council classifies its financial assets in the following categories: financial assets at fair value through profit or loss; loans and receivables; held-to-maturity investments; and available-for-sale financial assets. The classification depends on the purpose for which the investments were acquired. Management determines the classification of its investments at initial recognition and, in the case of assets classified as held-to-maturity, re-evaluates this designation at each reporting date.

(a) Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss are financial assets held for trading. A financial asset is classified in this category if acquired principally for the purpose of selling in the short-term. Assets in this category are held at fair value with changes in value taken through profit or loss at each reporting period.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 6(b). Investments (continued)

(b) Held to maturity investments

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that Council's management has the positive intention and ability to hold to maturity. Assets in this category are measured at amortised cost.

Recognition and de-recognition

Regular purchases and sales of financial assets are recognised on trade-date: the date on which Council commits to purchase or sell the asset. Investments are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets carried at fair value through profit or loss are initially recognised at fair value and transaction costs are expensed in the income statement. Investments are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and Council has transferred substantially all the risks and rewards of ownership.

When securities classified as available-for-sale are sold, the accumulated fair value adjustments recognised in equity are included in the Income Statement as gains and losses from investment securities.

Impairment of financial assets

Council assesses at the end of each reporting period whether there is objective evidence that a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

Impairment of available for sale investments

In the case of equity investments classified as available-for-sale, a significant or prolonged decline in the fair value of the security below its cost is considered an indicator that the assets are impaired.

Note 6(c). Restricted cash, cash equivalents and investments – details

\$ '000	2019	2019	2018	2018
	Current	Non-current	Current	Non-current
Total cash, cash equivalents and investments	38,417	–	49,978	–
attributable to:				
External restrictions	21,213	–	25,353	–
Internal restrictions	25,645	–	23,923	–
Unrestricted	(8,441)	–	702	–
	38,417	–	49,978	–

Commentary:

Council recognises, that as at 30 June 2019, the value of internal and external restrictions exceeds the total cash and investments by \$8,441. Additionally, Council is unable to internally restrict debtor balances which will be received in July 2019. On 1 July 2019, Council will realise the following restricted investments and government debtors:

The internal restriction on the Financial Assistance Grant	4,171
GST Receivable (from Note 7)	5,648
Government Grants and Subsidies (from Note 7)	3,949
TOTALS	13,768

Once these debtors are realised, Council's unrestricted cash position changes from a deficit of \$8,441 as at 30 June 2019 to a positive cash position of \$5,284 in July 2019.

\$ '000	2019	2018
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Details of restrictions

Notes to the Financial Statements

for the year ended 30 June 2019

Note 6(c). Restricted cash, cash equivalents and investments – details (continued)

\$ '000	2019	2018
External restrictions – other		
Developer contributions – general	1,421	1,193
Developer contributions – water fund	818	789
Developer contributions – sewer fund	68	58
Specific purpose unexpended grants	630	5,027
Water supplies	12,600	9,767
Sewerage services	897	3,872
Domestic waste management	151	151
Stormwater management	297	241
Waste transfer station	237	237
Regional waste group	3,178	3,095
Regional fire zone	118	115
Other contributions	21	21
Other	777	787
External restrictions – other	21,213	25,353
Total external restrictions	21,213	25,353
Internal restrictions		
Plant and vehicle replacement	702	702
Infrastructure replacement	522	522
Employees leave entitlement	3,200	3,178
Financial assistance grant advance payment	4,171	3,962
Implementation Funding	2,699	1,715
Stronger Councils Funds	13,693	13,186
Quarries and pit restoration	552	552
Corporate support reserves	106	106
Total internal restrictions	25,645	23,923
TOTAL RESTRICTIONS	46,858	49,276

Notes to the Financial Statements

for the year ended 30 June 2019

Note 7. Receivables

\$ '000	2019 Current	2019 Non-current	2018 Current	2018 Non-current
Purpose				
Rates and annual charges	2,242	–	1,759	–
Interest and extra charges	192	–	212	–
User charges and fees	4,257	–	2,062	–
Contributions to works	496	–	490	–
Accrued revenues				
– Interest on investments	254	–	212	–
– Other income accruals	1,411	–	324	–
Amounts due from other councils	184	–	150	–
Deferred debtors	21	–	22	–
Government grants and subsidies	3,949	–	2,853	–
Net GST receivable	5,648	–	1,455	–
Contributions	170	–	204	–
Other debtors	1	–	–	–
Total	18,825	–	9,743	–
Less: provision of impairment				
Rates and annual charges	(4)	–	(35)	–
User charges and fees	(65)	–	(35)	–
Other debtors	(17)	–	(17)	–
Total provision for impairment – receivables	(86)	–	(87)	–
TOTAL NET RECEIVABLES	18,739	–	9,656	–
Externally restricted receivables				
Water supply				
– Rates and availability charges	281	–	782	–
– Other	2,023	–	757	–
Sewerage services				
– Rates and availability charges	397	–	388	–
– Other	56	–	–	–
Domestic waste management	160	–	648	–
Total external restrictions	2,917	–	2,575	–
Unrestricted receivables	15,822	–	7,081	–
TOTAL NET RECEIVABLES	18,739	–	9,656	–

\$ '000	2019	2018
Movement in provision for impairment of receivables		
Balance at the beginning of the year	87	87
– amounts already provided for and written off this year	(1)	–
Balance at the end of the period	86	87

Accounting policy for receivables

Notes to the Financial Statements

for the year ended 30 June 2019

Note 7. Receivables (continued)

Recognition and measurement

Receivables are included in current assets, except for those with maturities greater than 12 months after the reporting date which are classified as non-current assets.

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Cash flows relating to short-term receivables are not discounted if the effect of discounting is immaterial.

Impairment

Accounting policy under AASB 9 applicable from 1 July 2018

Impairment of financial assets measured at amortised cost is recognised on an expected credit loss (ECL) basis.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition, and when estimating ECL, the Council considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on Council's historical experience and informed credit assessment, and including forward-looking information.

When considering the ECL for rates debtors, Council takes into account that unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold. For non-rates debtors, Council uses the presumption that an asset which is more than 30 days past due has seen a significant increase in credit risk.

The Council uses the presentation that a financial asset is in default when:

- the other party is unlikely to pay its credit obligations to the Council in full, without recourse by the Council to actions such as realising security (if any is held) or
- the financial assets (for non-rates debtors) are more than 90 days past due.

Credit losses are measured as the present value of the difference between the cash flows due to the entity in accordance with the contract, and the cash flows expected to be received. This is applied using a probability weighted approach.

On initial recognition of the asset, an estimate of the expected credit losses for the next 12 months is recognised. Where the asset has experienced significant increase in credit risk then the lifetime losses are estimated and recognised.

There has been no change in the estimation techniques or significant assumptions made during the current reporting period.

The Council writes off a trade receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the receivables are over 2 years past due, whichever occurs first.

None of the receivables that have been written off are subject to enforcement activity.

Where the Council renegotiates the terms of receivables due from certain customers, the new expected cash flows are discounted at the original effective interest rate and any resulting difference to the carrying value is recognised in profit or loss.

Accounting policy under AASB 139 – applicable for 2018 comparatives only

For loans and receivables, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the amount of the loss is recognised in profit or loss.

Collectability of receivables is reviewed on an ongoing basis. Debts that are known to be uncollectable are written off by reducing the carrying amount directly. An allowance account (provision for impairment of receivables) is used when there is objective evidence that the Council will not be able to collect all amounts due according to the original terms of the receivables. Significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments (more than 30 days overdue) are considered indicators that the receivable is impaired. When a receivable for which an impairment allowance had been recognised becomes uncollectable in a subsequent period, it is written off against the allowance account. Subsequent recoveries of amounts previously written off are credited against other expenses in the Income Statement.

Rates and annual charges outstanding are secured against the property.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 8. Inventories and other assets

\$ '000	2019 Current	2019 Non-current	2018 Current	2018 Non-current
(a) Inventories				
(i) Inventories at cost				
Real estate for resale	123	–	134	–
Stores and materials	752	–	956	–
Total inventories at cost	875	–	1,090	–
TOTAL INVENTORIES	875	–	1,090	–

(b) Other assets

Prepayments	26	–	1	–
TOTAL OTHER ASSETS	26	–	1	–

\$ '000	2019 Current	2019 Non-current	2018 Current	2018 Non-current
Total externally restricted assets	–	–	–	–
Total internally restricted assets	–	–	–	–
Total unrestricted assets	901	–	1,091	–
TOTAL INVENTORIES AND OTHER ASSETS	901	–	1,091	–

(i) Other disclosures

\$ '000	Notes	2019 Current	2019 Non-current	2018 Current	2018 Non-current
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(a) Details for real estate development

Residential	123	–	134	–
Total real estate for resale	123	–	134	–

(Valued at the lower of cost and net realisable value)

Represented by:

Acquisition costs	15	–	26	–
Development costs	108	–	108	–
Total costs	123	–	134	–

Total real estate for resale

123	–	134	–
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Movements:

Real estate assets at beginning of the year	134	–	–	–
– Purchases and other costs	(11)	–	55	–
– Transfers in from (out to) Note 10	–	–	277	–
– WDV of sales (expense)	–	–	(198)	–
Total real estate for resale	123	–	134	–

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Notes to the Financial Statements

for the year ended 30 June 2019

Note 8. Inventories and other assets (continued)

Accounting policy for inventories and other assets

Raw materials and stores, work in progress and finished goods

Raw materials and stores, work in progress and finished goods are stated at the lower of cost and net realisable value. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

Inventory held for distribution

Inventory held for distribution is held at cost, adjusted where applicable for any loss of service potential.

Land held for resale/capitalisation of borrowing costs

Land held for resale is stated at the lower of cost and net realisable value. Cost is assigned by specific identification and includes the cost of acquisition, and development and borrowing costs during development. When development is completed, borrowing costs and other holding charges are expensed as incurred.

Borrowing costs included in the cost of land held for resale are those costs that would have been avoided if the expenditure on the acquisition and development of the land had not been made. Borrowing costs incurred while active development is interrupted for extended periods are recognised as expenses.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 9(a). Infrastructure, property, plant and equipment

	as at 30/6/2018			Asset movements during the reporting period							as at 30/6/2019		
	Gross carrying amount	Accumulated depreciation	Net carrying amount	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	Impairment loss / revaluation decrements (recognised in P/L)	Adjustments and transfers	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation	Net carrying amount
\$ '000													
Capital work in progress	1,166	—	1,166	5,464	—	—	—	—	—	—	6,630	—	6,630
Plant and equipment	30,198	(15,478)	14,720	3,300	—	(513)	(2,136)	—	4	—	31,785	(16,410)	15,375
Office equipment	1,055	(758)	297	—	57	—	(47)	—	—	—	1,112	(805)	307
Furniture and fittings	808	(470)	338	—	—	—	(39)	—	—	—	808	(509)	299
Land:													
– Operational land	7,449	—	7,449	—	—	—	—	—	1	—	7,450	—	7,450
– Community land	7,596	—	7,596	—	—	—	—	—	1	—	7,597	—	7,597
Land improvements – non-depreciable	71	—	71	—	—	—	—	—	—	—	71	—	71
Land improvements – depreciable	396	(17)	379	—	49	—	(4)	—	—	—	444	(20)	424
Infrastructure:													
– Buildings – non-specialised	26,722	(12,856)	13,866	—	—	—	(813)	—	35,190	—	91,741	(43,498)	48,243
– Buildings – specialised	87,914	(40,020)	47,894	126	—	—	(2,526)	—	(35,190)	—	23,021	(12,717)	10,304
– Other structures	7,666	(3,889)	3,777	15	—	—	(218)	—	911	793	9,451	(4,173)	5,278
– Roads	343,706	(113,253)	230,453	8,541	—	—	(7,677)	(612)	—	—	351,635	(120,930)	230,705
– Bridges	53,461	(24,985)	28,476	—	2,318	—	(527)	(34)	—	—	55,745	(25,512)	30,233
– Footpaths	7,863	(2,206)	5,657	70	—	—	(106)	—	(1)	—	7,933	(2,313)	5,620
– Bulk earthworks (non-depreciable)	95,290	—	95,290	—	—	—	—	—	—	—	95,290	—	95,290
– Stormwater drainage	28,420	(16,908)	11,512	—	269	—	(315)	—	—	—	28,689	(17,223)	11,466
– Water supply network	72,618	(31,317)	41,301	—	284	—	(916)	—	—	646	73,815	(32,500)	41,315
– Sewerage network	71,210	(29,784)	41,426	—	4,356	—	(1,139)	—	—	645	73,267	(27,979)	45,288
– Swimming pools	8,073	(3,830)	4,243	—	40	—	(148)	—	1	482	8,870	(4,252)	4,618
– Other open space/recreational assets	10,832	(4,151)	6,681	—	545	—	(284)	—	(912)	909	11,952	(5,013)	6,939
Other assets:													
– Library books	560	(380)	180	93	—	—	(85)	—	—	—	653	(465)	188
Reinstatement, rehabilitation and restoration assets (refer Note 14):													
– Tip assets	304	(304)	—	—	—	—	—	—	—	—	304	(304)	—
– Quarry assets	640	(303)	337	—	—	—	(11)	—	—	—	640	(314)	326
Total Infrastructure, property, plant and equipment	864,018	(300,909)	563,109	17,609	7,918	(513)	(16,991)	(646)	5	3,475	888,903	(314,937)	573,966

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

Notes to the Financial Statements

for the year ended 30 June 2019

Note 9(a). Infrastructure, property, plant and equipment (continued)

	as at 30/6/2017			Asset movements during the reporting period									as at 30/6/2018		
	Gross carrying amount	Accumulated depreciation	Net carrying amount	Additions renewals ¹	Additions new assets	Reinstate-ment costs for impaired assets	Carrying value of disposals	Depreciation expense	Impairment loss / revaluation decrements (recognised in P/L)	WIP transfers	Tfrs from/(to) real estate assets (Note 8)	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation	Net carrying amount
\$ '000															
Capital work in progress	774	–	774	1,040	–	–	–	–	–	(648)	–	–	1,166	–	1,166
Plant and equipment	28,044	(14,600)	13,444	3,932	–	–	(412)	(2,244)	–	–	–	–	30,198	(15,478)	14,720
Office equipment	921	(693)	228	132	–	–	–	(63)	–	–	–	–	1,055	(758)	297
Furniture and fittings	799	(429)	370	9	–	–	–	(41)	–	–	–	–	808	(470)	338
Land:															
– Operational land	6,614	–	6,614	–	1	–	(95)	–	–	198	(277)	1,008	7,449	–	7,449
– Community land	7,895	–	7,895	–	–	–	–	–	(299)	–	–	–	7,596	–	7,596
Land improvements – non-depreciable	71	–	71	–	–	–	–	–	–	–	–	–	71	–	71
Land improvements – depreciable	73	(13)	60	323	–	–	–	(4)	–	–	–	–	396	(17)	379
Infrastructure:															
– Buildings – non-specialised	19,853	(12,538)	7,315	232	–	–	(4)	(464)	–	–	–	6,787	26,722	(12,856)	13,866
– Buildings – specialised	73,584	(36,370)	37,214	1,419	–	–	(179)	(1,824)	–	–	–	11,264	87,914	(40,020)	47,894
– Other structures	7,547	(3,814)	3,733	118	–	–	–	(74)	–	–	–	–	7,666	(3,889)	3,777
– Roads	335,061	(105,688)	229,373	7,891	–	428	–	(7,565)	–	325	–	–	343,706	(113,253)	230,453
– Bridges	51,730	(24,469)	27,261	1,732	–	–	–	(517)	–	–	–	–	53,461	(24,985)	28,476
– Footpaths	7,372	(2,106)	5,266	491	–	–	–	(100)	–	–	–	–	7,863	(2,206)	5,657
– Bulk earthworks (non-depreciable)	95,291	–	95,291	–	–	–	–	–	–	–	–	–	95,290	–	95,290
– Stormwater drainage	28,400	(16,600)	11,800	21	–	–	–	(309)	–	–	–	–	28,420	(16,908)	11,512
– Water supply network	70,233	(29,779)	40,454	789	–	–	–	(897)	–	125	–	830	72,618	(31,317)	41,301
– Sewerage network	69,275	(28,125)	41,150	551	–	–	–	(1,116)	–	–	–	841	71,210	(29,784)	41,426
– Swimming pools	8,070	(3,680)	4,390	4	–	–	–	(151)	–	–	–	–	8,073	(3,830)	4,243
– Other open space/recreational assets	10,028	(3,750)	6,278	805	–	–	–	(402)	–	–	–	–	10,832	(4,151)	6,681
Other assets:															
– Library books	507	(317)	190	53	–	–	–	(63)	–	–	–	–	560	(380)	180
Reinstatement, rehabilitation and restoration assets (refer Note 14):															
– Tip assets	304	(301)	3	–	–	–	–	–	–	–	–	–	304	(304)	–
– Quarry assets	639	(291)	348	–	–	–	–	(14)	–	–	–	–	640	(303)	337
Total Infrastructure, property, plant and equipment	823,085	(283,563)	539,522	19,542	1	428	(690)	(15,848)	(299)	–	(277)	20,730	864,018	(300,909)	563,109

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

Notes to the Financial Statements

for the year ended 30 June 2019

Note 9(a). Infrastructure, property, plant and equipment (continued)

Accounting policy for infrastructure, property, plant and equipment

ASSET POLICY

Infrastructure, property, plant and equipment (I,PP&E)

Acquisition of assets

Council's non-current assets are continually revalued (over a 5-year period) in accordance with the fair valuation policy as mandated by the Office of Local Government.

At balance date, the following classes of I,PP&E were stated at their fair value:

- **Operational Land**
(External Valuation as at 30/6/18)
- **Buildings – Specialised**
(External Valuation as at 30/6/18)
- **Buildings – Non Specialised**
(External Valuation as at 30/6/18)
- **Plant and Equipment**
(Fair Value approximated by depreciated historical cost)
- **Roads Assets Including K&G**
(External Valuation as at 30/6/15)
- **Bridges**
(External Valuation as at 30/6/15)
- **Footpaths**
(External Valuation as at 30/6/15)
- **Bulk Earthworks**
(External Valuation as at 30/6/15)
- **Stormwater Drainage**
(External Valuation as at 30/6/15)
- **Community Land**
(External Valuation as at 30/6/18)
- **Land Improvements**
(External Valuation as at 30/6/18)
- **Water Supply Network**
(Internal Valuation as at 30/6/17)
- **Sewer Network**
(Internal Valuation as at 30/6/17)
- **Open Space Recreation**
(External Valuation as at 30/6/19)
- **Swimming Pools**
(External Valuation as at 30/6/19)
- **Other Structures**
(External Valuation as at 30/6/19)
- **Library Books**
(Fair Value approximated by depreciated historical cost)
- **Office Equipment Furniture & Fittings**

Notes to the Financial Statements

for the year ended 30 June 2019

Note 9(a). Infrastructure, property, plant and equipment (continued)

(Fair Value approximated by depreciated historical cost)

- **Reinstatements**

(Internal valuation 30/6/19)

Initial recognition

On initial recognition, an asset's cost is measured at its fair value, plus all expenditure that is directly attributable to the acquisition.

Where settlement of any part of an asset's cash consideration is deferred, the amounts payable in the future are discounted to their present value as at the date of recognition (i.e. date of exchange) of the asset to arrive at fair value.

The discount rate used is the Council's incremental borrowing rate, being the rate at which a similar borrowing could be obtained from an independent financier under comparable terms and conditions.

Where infrastructure, property, plant and equipment assets are acquired for no cost or for an amount other than cost, the assets are recognised in the financial statements at their fair value at acquisition date – being the amount that the asset could have been exchanged between knowledgeable willing parties in an arm's length transaction.

Upon the consolidation of all asset registers from Boorowa Harden and Young upon the merger to form Hilltops Council all assets were imported with the asset useful lives that were recorded in the legacy asset registers. These useful lives and depreciation rates have been reviewed and standardised for each asset category in line with this policy at the time that revaluation of the asset categories occurs within the 5 year revaluation cycle of Council.

Subsequent costs

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably.

All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

Asset revaluations (including indexation)

In accounting for asset revaluations relating to infrastructure, property, plant and equipment:

- increases in the combined carrying amounts of asset classes arising on revaluation are credited to the asset revaluation reserve,
- to the extent that a net asset class increase reverses a decrease previously recognised via the profit or loss, then increase is first recognised in profit or loss,
- net decreases that reverse previous increases of the same asset class are first charged against revaluation reserves directly in equity to the extent of the remaining reserve attributable to the asset, with all other decreases charged to the Income Statement.

Water and sewerage network assets are indexed annually between full revaluations in accordance with the latest indices provided by DPI Water.

For all other assets, Council assesses at each reporting date whether there is any indication that a revalued asset's carrying amount may differ materially from that which would be determined if the asset were revalued at the reporting date.

If any such indication exists, Council determines the asset's fair value and revalues the asset to that amount.

Full revaluations are undertaken for all assets on a 5-year cycle. External Revaluation of Open Space Swimming Pools and Other Asset Structures were undertaken in 2019.

Capitalisation thresholds

Items of infrastructure, property, plant and equipment are not capitalised unless their cost of acquisition exceeds the following;

Land

- Operational land	100% Capitalised
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Notes to the Financial Statements

for the year ended 30 June 2019

Note 9(a). Infrastructure, property, plant and equipment (continued)

- Community land	100% Capitalised
- Open space	100% Capitalised
- Land under roads (purchases after 30/6/08)	100% Capitalised
- Land Improvement	> \$5,000
Plant and Equipment	
Plant & Equipment	> \$5,000
Office Furniture	> \$5,000
Office Equipment	> \$5,000
Building	
- Buildings Specialised	> \$10,000
- Buildings Non-Specialised	> \$10,000
- Buildings Other	> \$5,000
Water Supply Network	
Reticulation extensions	> \$5,000
Other	> \$5,000
Sewer Network	
Reticulation extensions	> \$5,000
Other	> \$5,000
Stormwater Assets	
Drains and Culverts	> \$5,000
Other	> \$5,000
Road Assets	
Road construction and reconstruction	> \$10,000
Bridge construction and reconstruction	> \$10,000
Footpaths	> \$5,000
Kerb & Gutter	> \$5,000
Other Infrastructure Assets	
Swimming Pools	> \$5,000
Open Space/Recreational Assets	> \$5,000
Other Structures	> \$5,000
Quarries & Pits	> \$5,000
Library Books	
- Books & Equipment	> \$5,000

Depreciation

Depreciation on Council's infrastructure, property, plant and equipment assets is calculated using the straight-line method in order to allocate an asset's cost over its estimated useful life.

Land is not depreciated.

Estimated useful lives for Council's I, PP and E include:

Plant and Equipment

- Office Equipment	4 to 10 years
- Office furniture	4 to 10 years
- Computer Equipment	4 years
- Light Vehicles	4 to 10 years
- Heavy Plant/Road Making equip.	5 to 10 years
- Other plant and equipment	5 to 25 years

Other Equipment

- Playground equipment	5 to 15 years
- Benches, seats etc	10 to 20 years

Buildings

- Buildings Specialised	40 to 60 years
- Buildings Non-Specialised	40 to 100 years

continued on next page ...

Notes to the Financial Statements

for the year ended 30 June 2019

Note 9(a). Infrastructure, property, plant and equipment (continued)

- Buildings Other	40 to 60 years
Stormwater Drainage	
- Drains	80 to 100 years
- Culverts	80 to 100 years
Road Assets	
- Sealed Roads: Surface	15 to 50 years
- Sealed Roads: Structure	50 to 150 years
- Bridge: Concrete	80 to 100 years
- Footpaths	15 to 50 years
- Kerb & Gutter	15 to 50 years
- Bulk earthworks	Not Depreciated
Water and Sewer Assets	
- Dams and reservoirs	80 to 100 years
- Reticulation pipes: PVC	70 to 80 years
- Reticulation pipes: Other	25 to 75 years
- Pumps and telemetry	10 to 20 years
Other Infrastructure Assets	
- Bulk earthworks	Not Depreciated
- Swimming Pools	25 to 60 years
- Open Space Recreational Assets	15 to 60 years
- Other Structures	20 to 60 years
Quarries & Pits	3-5 Years
Library Books	
- Books & Equipment	5 Years

All asset values and useful lives are reviewed and adjusted (if appropriate) at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount – refer Note 1 (s) on asset impairment.

Disposal and derecognition

An item of property, plant and equipment is derecognised upon disposal or when no further future economic benefits are expected from its use or disposal.

Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in Council's Income Statement in the year the asset is derecognised.

Land

Land (other than land under roads) is in accordance with Part 2 of Chapter 6 of the *Local Government Act (1993)* classified as either operational or community.

Land under roads

Land under roads is land under roadways and road reserves, including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008 in accordance with AASB 1051.

Land under roads acquired after 1 July 2008 is recognised in accordance with AASB 116 – Property, Plant and Equipment.

Intangible assets

Notes to the Financial Statements

for the year ended 30 June 2019

Note 9(a). Infrastructure, property, plant and equipment (continued)

Council has not classified any assets as intangible.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council.

While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Investment property

Investment property comprises land and/or buildings that are principally held for long-term rental yields, capital gains or both, that is not occupied by Council.

Investment property is carried at fair value, representing an open-market value determined annually by external valuers.

Annual changes in the fair value of investment properties are recorded in the Income Statement as part of 'other income'.

Full revaluations are carried out every 5 years with an appropriate index utilised each year in between the full revaluations.

The last full revaluation for Council's investment properties was dated at 30 June 2018.

Provisions for Restoration and for Environmental Clean-up Costs – including Tips and Quarries

Close down, restoration and remediation costs include the dismantling and demolition of infrastructure, the removal of residual materials and the remediation of disturbed areas.

Estimated close down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs.

Provisions for close down and restoration costs do not include any additional obligations that are expected to arise from future disturbance.

Costs are estimated on the basis of a closure plan.

The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

Close down, restoration and remediation costs are a normal consequence of tip and quarry operations, and the majority of close down and restoration expenditure is incurred at the end of the life of the operations.

Although the ultimate cost to be incurred is uncertain, Council estimates the respective costs based on feasibility and engineering studies using current restoration standards and techniques.

The amortisation or 'unwinding' of the discount applied in establishing the net present value of provisions is charged to the Income Statement in each accounting period.

This amortisation of the discount is disclosed as a borrowing cost in Note 4 (b).

Other movements in the provisions for close down, restoration and remediation costs including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations and revisions to discount rates are capitalised within property, plant and equipment.

These costs are then depreciated over the lives of the assets to which they relate.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 9(a). Infrastructure, property, plant and equipment (continued)

Where rehabilitation is conducted systematically over the life of the operation, rather than at the time of closure, provision is made for the estimated outstanding continuous rehabilitation work at each balance sheet date and the cost is charged to the Income Statement.

Provision is made for the estimated present value of the costs of environmental clean-up obligations outstanding at the balance sheet date.

These costs are charged to the Income Statement.

Movements in the environmental clean-up provisions are presented as an operating cost, except for the unwinding of the discount, which is shown as a borrowing cost.

Remediation procedures generally commence soon after the time the damage, remediation process and estimated remediation costs become known, but may continue for many years depending on the nature of the disturbance and the remediation techniques.

As noted above, the ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques or experience at other locations.

The expected timing of expenditure can also change, for example, in response to changes in quarry reserves or production rates.

As a result there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Specific information about Council's provisions relating to close down, restoration and remediation costs can be found at Note 26.

Non-current assets (or disposal groups) 'held for sale' and discontinued operations

Non-current assets (or disposal groups) are classified as held for sale and stated at the lower of either

- their carrying amount and
- (ii) fair value less costs to sell, if their carrying amount will be recovered principally through a sale transaction rather than through continuing use.

The exception to this is plant and motor vehicles, which are turned over on a regular basis. Plant and motor vehicles are retained in non-current assets under the classification of infrastructure, property, plant and equipment – unless the assets are to be traded in after 12 May and the replacement assets were already purchased and accounted for as at 12 May.

For any assets or disposal groups classified as non-current assets 'held for sale', an impairment loss is recognised at any time when the assets carrying value is greater than its fair value less costs to sell.

Non-current assets 'held for sale' are not depreciated or amortised while they are classified as 'held for sale'.

Non-current assets classified as 'held for sale' are presented separately from the other assets in the balance sheet.

A discontinued operation is a component of Council that has been disposed of or is classified as 'held for sale' and that represents a separate major line of business or geographical area of operations, is part of a single co-ordinated plan to dispose of such a line of business or area of operations, or is a subsidiary acquired exclusively with a view to resale.

The results of discontinued operations are presented separately on the face of the Income Statement.

Impairment of assets

All Council's I,PP&E is subject to an annual assessment of impairment.

Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 9(a). Infrastructure, property, plant and equipment (continued)

The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

Where an asset is not held principally for cash-generating purposes (for example infrastructure assets) and would be replaced if the Council was deprived of it, then depreciated replacement cost is used as value in use, otherwise value in use is estimated by using a discounted cash flow model.

Non-financial assets (other than goodwill) that suffered a prior period impairment are reviewed for possible reversal of the impairment at each reporting date.

Goodwill and other intangible assets that have an indefinite useful life and are not subject to amortisation are tested annually for impairment.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council. While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Rural Fire Service assets

Under Section 119 of the *Rural Fire Services Act 1997 (NSW)*, "all firefighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the firefighting equipment has been purchased or constructed".

Until such time as discussions on this matter have concluded and the legislation changed, Council will recognise rural fires service assets including land and buildings, but will not recognise plant and vehicles.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 9(b). Externally restricted infrastructure, property, plant and equipment

\$ '000	2019			2018		
	Gross carrying amount	Accumulated depn. and impairment	Net carrying amount	Gross carrying amount	Accumulated depn. and impairment	Net carrying amount
Water supply						
Plant and equipment	639	561	78	638	525	113
Office equipment	99	58	41	99	55	44
Land						
– Operational land	196	–	196	169	–	169
Buildings	18	18	–	18	–	18
Infrastructure	73,658	32,507	41,151	72,618	31,316	41,302
Total water supply	74,610	33,144	41,466	73,542	31,896	41,646
Sewerage services						
Plant and equipment	1,926	1,844	82	1,926	1,806	120
Land						
– Operational land	570	–	570	570	–	570
Buildings	804	179	625	421	146	275
Infrastructure	73,328	28,032	45,296	71,210	29,783	41,427
Total sewerage services	76,628	30,055	46,573	74,127	31,735	42,392
Domestic waste management						
Plant and equipment	203	186	17	203	173	30
Land						
Total DWM	203	186	17	203	173	30
Other restricted assets						
Plant and equipment	1,552	964	588	1,289	819	470
Other Structures	199	21	178	195	22	173
Total other restrictions	1,751	985	766	1,484	841	643
TOTAL RESTRICTED I, PP&E	153,192	64,370	88,822	149,356	64,645	84,711

Note 9(c). Infrastructure, property, plant and equipment – current year impairments

\$ '000	Notes	2019	2018
(ii) Reversal of impairment losses previously recognized in the Income Statement:			
Road Impairment		–	428
Total impairment reversals		–	428
IMPAIRMENT OF ASSETS – GAINS/(LOSSES) in P/L	4d	–	428

Notes to the Financial Statements

for the year ended 30 June 2019

Note 10. Payables and borrowings

\$ '000	2019 Current	2019 Non-current	2018 Current	2018 Non-current
Payables				
Goods and services – operating expenditure	1,742	–	4,230	–
Accrued expenses:				
– Borrowings	57	–	171	–
– Salaries and wages	66	18	471	545
– Other expenditure accruals	2,984	8	7	10
Funds held for Section 355 Committees	95	–	49	–
Security bonds, deposits and retentions	634	–	718	–
ATO – net GST payable	1,081	–	81	–
SSNPA	666	–	666	–
Government departments and agencies	77	4	–	–
Other	237	–	74	–
Total payables	7,639	30	6,467	555
Income received in advance				
Payments received in advance	499	–	454	–
Total income received in advance	499	–	454	–
Borrowings				
Loans – secured ¹	1,343	10,513	1,344	11,865
Total borrowings	1,343	10,513	1,344	11,865
<u>TOTAL PAYABLES AND BORROWINGS</u>	<u>9,481</u>	<u>10,543</u>	<u>8,265</u>	<u>12,420</u>

(1) Loans are secured over the general rating income of Council.

Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note 20.

\$ '000	2019 Current	2019 Non-current	2018 Current	2018 Non-current
(a) Payables and borrowings relating to restricted assets				
Externally restricted assets				
Water	652	–	21	–
Sewer	437	7,029	443	7,425
Payables and borrowings relating to externally restricted assets	1,089	7,029	464	7,425
Total payables and borrowings relating to restricted assets	1,089	7,029	464	7,425
Total payables and borrowings relating to unrestricted assets	8,392	3,514	7,801	4,995
<u>TOTAL PAYABLES AND BORROWINGS</u>	<u>9,481</u>	<u>10,543</u>	<u>8,265</u>	<u>12,420</u>

Notes to the Financial Statements

for the year ended 30 June 2019

Note 10. Payables and borrowings (continued)

\$ '000	2019	2018
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(b) Current payables and borrowings not anticipated to be settled within the next twelve months

The following liabilities, even though classified as current, are not expected to be settled in the next 12 months.

Payables – security bonds, deposits and retentions	584	–
Other liabilities	666	–
Total payables and borrowings	1,250	–

(c) Changes in liabilities arising from financing activities

\$ '000	as at 30/6/2018		Non-cash acquisitions	Non-cash fair value changes	Other non-cash movements	as at 30/6/2019	
	Opening Balance	Cash flows				Closing balance	
Loans – secured	13,209	(1,353)	–	–	–	11,856	
TOTAL	13,209	(1,353)	–	–	–	11,856	

\$ '000	as at 30/6/2017		Non-cash acquisitions	Non-cash fair value changes	Other non-cash movements	as at 30/6/2018	
	Opening Balance	Cash flows				Closing balance	
Loans – secured	18,993	(5,784)	–	–	–	13,209	
TOTAL	18,993	(5,784)	–	–	–	13,209	

Accounting policy for payables and borrowings

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

The financial liabilities of the Council comprise trade payables, bank and other loans and finance lease liabilities.

Payables

These amounts represent liabilities for goods and services provided to the council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

Borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in the Income Statement over the period of the borrowings using the effective-interest method. Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the drawdown occurs. To the extent that there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a prepayment for liquidity services and amortised over the period of the facility to which it relates.

Borrowings are removed from the Statement of Financial Position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in other income or finance cost.

Borrowings are classified as current liabilities unless Council has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 11. Provisions

\$ '000	2019 Current	2019 Non-current	2018 Current	2018 Non-current
Provisions				
Employee benefits				
Annual leave	1,724	–	1,889	–
Sick leave	758	–	622	–
Long service leave	4,445	185	4,058	169
RDO leave	109	–	64	–
Sub-total – aggregate employee benefits	7,036	185	6,633	169
Asset remediation/restoration:				
Asset remediation/restoration (future works)	–	8,034	–	7,215
Sub-total – asset remediation/restoration	–	8,034	–	7,215
<u>TOTAL PROVISIONS</u>	<u>7,036</u>	<u>8,219</u>	<u>6,633</u>	<u>7,384</u>

(a) Provisions relating to restricted assets

Externally restricted assets

Water	314	–	–	315
Sewer	165	–	51	–
Provisions relating to externally restricted assets	479	–	51	315
Total provisions relating to restricted assets	479	–	51	315
Total provisions relating to unrestricted assets	6,557	8,219	6,582	7,069
<u>TOTAL PROVISIONS</u>	<u>7,036</u>	<u>8,219</u>	<u>6,633</u>	<u>7,384</u>

\$ '000	2019	2018
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(b) Current provisions not anticipated to be settled within the next twelve months

The following provisions, even though classified as current, are not expected to be settled in the next 12 months.

Provisions – employees benefits	4,916	4,846
	<u>4,916</u>	<u>4,846</u>

Notes to the Financial Statements

for the year ended 30 June 2019

Note 11. Provisions (continued)

(c) Description of and movements in provisions

\$ '000	ELE provisions				Total
	Annual leave	Sick leave	Long service leave	Other employee benefits	
2019					
At beginning of year	1,889	622	4,227	64	6,802
Amounts used (payments)	(1,487)	–	(641)	–	(2,128)
Other	1,322	136	1,044	45	2,547
Total ELE provisions at end of period	1,724	758	4,630	109	7,221
2018					
At beginning of year	1,778	634	4,049	52	6,513
Other	111	(12)	178	12	289
Total ELE provisions at end of period	1,889	622	4,227	64	6,802

\$ '000	Other provisions	
	Asset remediation	Total
2019		
At beginning of year	7,215	7,215
Other	819	819
Total other provisions at end of period	8,034	8,034
2018		
At beginning of year	6,960	6,960
Unwinding of discount	277	277
Other	(22)	(22)
Total other provisions at end of period	7,215	7,215

Accounting policy for provisions

Provisions are recognised when Council has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount has been reliably estimated.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the reporting date. The discount rate used to determine the present value reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as interest expense.

Employee benefits**Short-term obligations**

Liabilities for wages and salaries (including non-monetary benefits, annual leave and accumulating sick leave expected to be wholly settled within 12 months after the end of the period in which the employees render the related service) are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liability for annual leave and accumulating sick leave is recognised in the provision for employee benefits. All other short-term employee benefit obligations are presented as payables.

Other long-term employee benefit obligations

Notes to the Financial Statements

for the year ended 30 June 2019

Note 11. Provisions (continued)

The liability for long-service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

On-costs

The employee benefit provisions include the aggregate on-cost liabilities that will arise when payment of current employee benefits is made in future periods.

These amounts include superannuation, payroll tax and workers compensation expenses which will be payable upon the future payment of certain leave liabilities which employees are entitled to at the reporting period.

The obligations are presented as current liabilities in the Statement of Financial Position if the Council does not have an unconditional right to defer settlement for at least 12 months after the reporting date, regardless of when the actual settlement is expected to occur.

Provisions for close-down and restoration, and environmental clean-up costs – tips and quarries

Restoration

Close-down and restoration costs include the dismantling and demolition of infrastructure, and the removal of residual materials and remediation of disturbed areas. Estimated close-down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs.

Provisions for close-down and restoration costs do not include any additional obligations which are expected to arise from future disturbance. The costs are estimated on the basis of a closure plan. The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

Rehabilitation

Where rehabilitation is conducted systematically over the life of the operation, rather than at the time of closure, provision is made for the estimated outstanding continuous rehabilitation work at each reporting date, and the cost is charged to the Income Statement.

Provision is made for the estimated present value of the costs of environmental clean-up obligations outstanding at the reporting date. These costs are charged to the Income Statement. Movements in the environmental clean-up provisions are presented as an operating cost, except for the unwinding of the discount which is shown as a borrowing cost.

Remediation procedures generally commence soon after the time the damage, remediation process, and estimated remediation costs become known, but may continue for many years depending on the nature of the disturbance and the remediation techniques.

As noted above, the ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques, or experience at other locations. The expected timing of expenditure can also change, for example in response to changes in quarry reserves or production rates. As a result, there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Other movements in the provisions for close-down and restoration costs, including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations, and revisions to discount rates, are capitalised within property, plant and equipment. These costs are then depreciated over the lives of the assets to which they relate.

Close-down and restoration costs are a normal consequence of tip and quarry operations, and the majority of close-down and restoration expenditure is incurred at the end of the life of the operations. Although the ultimate cost to be incurred is uncertain, Council estimates the respective costs based on feasibility and engineering studies using current restoration standards and techniques.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 12. Accumulated surplus, revaluation reserves, changes in accounting policies, changes in accounting estimates and errors

Nature and purpose of reserves

Infrastructure, property, plant and equipment revaluation reserve

The infrastructure, property, plant and equipment revaluation reserve is used to record increments / decrements of non-current asset values due to their revaluation.

Fair value through other comprehensive income reserve (FVOCI)

Changes in the fair value of financial assets are taken through the fair value through other comprehensive income revaluation reserve. The accumulated changes in fair value are transferred to profit or loss when the financial asset is derecognised or impaired.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 13. Statement of cash flows - additional information

\$ '000	Notes	2019	2018
(a) Reconciliation of cash assets			
Total cash and cash equivalent assets	6(a)	11,361	28,663
Balance as per the Statement of Cash Flows		11,361	28,663
(b) Reconciliation of net operating result to cash provided from operating activities			
Net operating result from Income Statement		3,352	(46)
Adjust for non-cash items:			
Depreciation and amortisation		16,991	15,848
Net losses/(gains) on disposal of assets		(459)	(550)
Losses/(gains) recognised on fair value re-measurements through the P&L:			
– Revaluation decrements / impairments of IPP&E direct to P&L		646	299
Unwinding of discount rates on reinstatement provisions		–	277
+/- Movement in operating assets and liabilities and other cash items:			
Decrease/(increase) in receivables		(9,083)	(128)
Increase/(decrease) in provision for doubtful debts		(1)	–
Decrease/(increase) in inventories		204	(231)
Decrease/(increase) in other assets		(25)	72
Increase/(decrease) in payables		(2,488)	1,962
Increase/(decrease) in accrued interest payable		(114)	71
Increase/(decrease) in other accrued expenses payable		2,043	759
Increase/(decrease) in other liabilities		1,251	805
Increase/(decrease) in employee leave entitlements		419	289
Increase/(decrease) in other provisions		819	(22)
Net cash provided from/(used in) operating activities from the Statement of Cash Flows		13,555	19,405

Notes to the Financial Statements

for the year ended 30 June 2019

Note 14. Commitments

\$ '000	2019	2018
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(a) Capital commitments (exclusive of GST)

Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:

Property, plant and equipment

Buildings	284	–
Bridges	–	1,650
Other	2,387	–
Total commitments	2,671	1,650

These expenditures are payable as follows:

Within the next year	2,671	1,650
Total payable	2,671	1,650

Sources for funding of capital commitments:

Unrestricted general funds	2,671	1,650
Total sources of funding	2,671	1,650

(b) Operating lease commitments (non-cancellable)

a. Commitments under non-cancellable operating leases at the reporting date, but not recognised as liabilities are payable:

Within the next year	2	24
Total non-cancellable operating lease commitments	2	24

Notes to the Financial Statements

for the year ended 30 June 2019

Note 15. Contingencies and other assets/liabilities not recognised

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council is party to an Industry Defined Benefit Plan under the Local Government Superannuation Scheme, named The Local Government Superannuation Scheme – Pool B (the Scheme) which is a defined benefit plan that has been deemed to be a 'multi-employer fund' for purposes of AASB119 Employee Benefits for the following reasons:

- Assets are not segregated within the sub-group according to the employees of each sponsoring employer.
- The contribution rates have been the same for all sponsoring employers. That is, contribution rates have not varied for each sponsoring employer according to the experience relating to the employees of that sponsoring employer.
- Benefits for employees of all sponsoring employers are determined according to the same formulae and without regard to the sponsoring employer.
- The same actuarial assumptions are currently used in respect of the employees of each sponsoring employer.

Given the factors above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers, and hence shares in the associated gains and losses (to the extent that they are not borne by members).

Description of the funding arrangements.

Pooled employers are required to pay standard employer contributions and additional lump sum contributions to the fund.

The standard employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working life-time of a typical new entrant is calculated. The current standard employer contribution rates are:

Division B	1.9 times employee contributions for non-180 Point members: Nil for 180 point members
Division C	2.5% salaries
Division D	1.64 times employee contributions

The additional lump sum contribution for each Pooled Employer is a share of the total additional contributions of \$40 million per annum from 1 July 2018 for 3 years to 30 June 2021, apportioned according to each employer's share of the accrued liabilities as at 30 June 2018. These additional lump sum contributions are used to fund the deficit of assets to accrued liabilities as at 30 June 2019.

The adequacy of contributions is assessed at each triennial actuarial investigation and monitored annually between triennials.

Description of the extent to which Council can be liable to the plan for other Council's obligations under the terms and conditions of the multi-employer plan

As stated above, each sponsoring employer (Council) is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses.

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding additional contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the Council.

There are no specific provisions under the Fund's trust deed dealing with deficits or surplus on wind-up.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 15. Contingencies and other assets/liabilities not recognised (continued)

The amount of Council employer contributions to the defined benefit section of the Local Government Superannuation Scheme and recognised as an expense for the year ending 30 June 2019 was \$301,964.71. The last valuation of the Scheme was performed by Mr Richard Boyfield, FIAA on 31 December 2018, and covers the period ended 30 June 2018.

Council's expected contribution to the plan for the next annual reporting period is \$352,674.08.

The estimated employer reserves financial position for the Pooled Employers at 30 June 2019 is:

Employer reserves only *	\$millions	Asset Coverage
Assets	1,798.7	
Past Service Liabilities	1,784.2	100.8%
Vested Benefits	1,792.0	100.4%

* excluding member accounts and reserves in both assets and liabilities.

The share of this deficit that is broadly attributed to Council is estimated to be in the order of 0.43% as at 30 June 2019.

Council's share of that deficiency cannot be accurately calculated as the Scheme is a mutual arrangement where assets and liabilities are pooled together for all member councils. For this reason, no liability for the deficiency has been recognised in Council's accounts. Council has a possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

Investment return	5.75% per annum
Salary inflation *	3.5% per annum
Increase in CPI	2.5% per annum

* Plus promotional increases

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program; however, any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group.

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30/6 this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 15. Contingencies and other assets/liabilities not recognised (continued)

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

(ii) Potential land acquisitions due to planning restrictions imposed by Council

Council has classified a number of privately owned land parcels as local open space or bushland.

As a result, where notified in writing by the various owners, Council will be required to purchase these land parcels.

At reporting date, reliable estimates as to the value of any potential liability (and subsequent land asset) from such potential acquisitions has not been possible.

ASSETS NOT RECOGNISED

(i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30/6/08.

(ii) Infringement notices/fines

Fines and penalty income, the result of Council issuing infringement notices is followed up and collected by the Infringement Processing Bureau.

Council's revenue recognition policy for such income is to account for it as revenue on receipt.

Accordingly, at year end, there is a potential asset due to Council representing issued but unpaid infringement notices.

Due to the limited information available on the status, value and duration of outstanding notices, Council is unable to determine the value of outstanding income.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 16. Financial risk management

Risk management

Council's activities expose it to a variety of financial risks including **(1)** price risk, **(2)** credit risk, **(3)** liquidity risk and **(4)** interest rate risk.

The Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Council.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by Council's finance section under policies approved by the Council.

A comparison by category of the carrying amounts and fair values of Council's financial assets and financial liabilities recognised in the financial statements is presented below.

\$ '000	Carrying value 2019	Carrying value 2018	Fair value 2019	Fair value 2018
Financial assets				
Measured at amortised cost				
Cash and cash equivalents	11,361	28,663	23,826	28,663
Receivables	18,739	9,656	18,739	9,656
Investments				
– 'Held to maturity'	26,268	21,315	13,803	21,315
Fair value through other comprehensive income				
Investments				
– 'Available for sale'	788	–	788	–
Fair value through profit and loss				
Investments				
– 'Held for trading'	–	–	(4)	–
Total financial assets	57,156	59,634	57,152	59,634
Financial liabilities				
Payables	7,669	7,022	7,669	7,022
Loans/advances	11,856	13,209	11,856	13,209
Total financial liabilities	19,525	20,231	19,525	20,231

Fair value is determined as follows:

- **Cash and cash equivalents, receivables, payables** – are estimated to be the carrying value that approximates market value.
- **Borrowings and held-to-maturity investments** – are based upon estimated future cash flows discounted by the current mkt interest rates applicable to assets and liabilities with similar risk profiles, unless quoted market prices are available.
- Financial assets classified (i) **'at fair value through profit and loss'** or (ii) **'available-for-sale'** – are based upon quoted market prices (in active markets for identical investments) at the reporting date or independent valuation.

Council's objective is to maximise its return on cash and investments whilst maintaining an adequate level of liquidity and preserving capital.

Council's finance area manages the cash and Investments portfolio with the assistance of independent advisors.

Council has an investment policy which complies with the Local Government Act 1993 and Minister's investment order 625. This policy is regularly reviewed by Council and its staff and an investment report is tabled before Council on a monthly basis setting out the portfolio breakup and its performance as required by Local Government regulations.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 16. Financial risk management (continued)

The risks associated with the instruments held are:

- **Price risk** – the risk that the capital value of Investments may fluctuate due to changes in market prices, whether these changes are caused by factors specific to individual financial instruments or their issuers or are caused by factors affecting similar instruments traded in a market.
- **Interest rate risk** – the risk that movements in interest rates could affect returns and income.
- **Liquidity risk** – the risk that Council will not be able to pay its debts as and when they fall due.
- **Credit risk** – the risk that the investment counterparty will not complete their obligations particular to a financial instrument, resulting in a financial loss to Council – be it of a capital or income nature.

Council manages these risks (amongst other measures) by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

Council also seeks advice from independent advisers before placing any funds in cash equivalents and investments.

(a) Market risk – price risk and interest rate risk

The impact on result for the year and equity of a reasonably possible movement in the price of investments held and interest rates is shown below. The reasonably possible movements were determined based on historical movements and economic conditions in place at the reporting date.

\$ '000	Increase of values/rates		Decrease of values/rates	
	Profit	Equity	Profit	Equity
2019				
Possible impact of a 1% movement in interest rates	437	437	(437)	(437)
2018				
Possible impact of a 1% movement in interest rates	494	494	(494)	(494)

(b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

Council manages the credit risk associated with these receivables by monitoring outstanding debt and employing stringent debt recovery procedures. Council also encourages ratepayers to pay their rates by the due date through incentives.

The credit risk for liquid funds and other short-term financial assets is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance.

Council makes suitable provision for doubtful receivables as required and carries out credit checks on most non-rate debtors.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

Credit risk profile

Notes to the Financial Statements

for the year ended 30 June 2019

Note 16. Financial risk management (continued)

Receivables – rates and annual charges

Credit risk on rates and annual charges is minimised by the ability of Council to secure a charge over the land relating to the debts – that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages the payment of debt.

\$ '000	Not yet overdue	< 1 year overdue	1 - 2 years overdue	2 - 5 years overdue	> 5 years overdue	Total
2019						
Gross carrying amount	153	1,195	497	210	187	2,242
2018						
Gross carrying amount	225	828	387	164	155	1,759

Receivables - non-rates and annual charges

Council applies the simplified approach for non-rates and annual charges debtors to provide for expected credit losses prescribed by AASB 9, which permits the use of the lifetime expected loss provision. To measure the expected credit losses, non-rates and annual charges debtors have been grouped based on shared credit risk characteristics and the days past due.

The loss allowance provision as at 30 June 2019 is determined as follows. The expected credit losses incorporate forward-looking information.

\$ '000	Not yet overdue	0 - 30 days overdue	31 - 60 days overdue	61 - 90 days overdue	> 91 days overdue	Total
2019						
Gross carrying amount	11,275	2,152	910	1,536	710	16,583
Expected loss rate (%)	0.00%	0.95%	1.10%	1.00%	5.00%	0.49%
ECL provision	–	20	10	15	36	81
2018						
Gross carrying amount	5,552	683	655	1,094	–	7,984
Expected loss rate (%)	0.10%	1.00%	1.05%	5.70%	0.00%	1.02%
ECL provision	6	7	7	62	–	82

(c) Liquidity risk

Payables and borrowings are both subject to liquidity risk – the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels and maintaining an adequate cash buffer.

Payment terms can (in extenuating circumstances) also be extended and overdraft facilities utilised as required.

Borrowings are also subject to interest rate risk – the risk that movements in interest rates could adversely affect funding costs and debt servicing requirements. Council manages this risk through diversification of borrowing types, maturities and interest rate structures. The finance team regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The timing of cash flows presented in the table below to settle financial liabilities reflects the earliest contractual settlement dates. The timing of expected outflows is not expected to be materially different from contracted cashflows.

The amounts disclosed in the table are the undiscounted contracted cash flows and therefore the balances in the table may not equal the balances in the statement of financial position due to the effect of discounting.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 16. Financial risk management (continued)

\$ '000	Weighted average interest rate	Subject to no maturity	≤ 1 Year	payable in: 1 - 5 Years	> 5 Years	Total cash outflows	Actual carrying values
\$ '000	Weighted average interest rate	Subject to no maturity	≤ 1 Year	payable in: 1 - 5 Years	> 5 Years	Total cash outflows	Actual carrying values
2019							
Trade/other payables	0.00%	634	6,011	—	666	7,311	7,669
Loans and advances	5.43%	—	1,343	5,344	5,170	11,857	11,856
Total financial liabilities		634	7,354	5,344	5,836	19,168	19,525
2018							
Trade/other payables	0.00%	718	—	—	—	718	7,022
Loans and advances	4.83%	—	2,133	8,933	2,552	13,618	13,209
Total financial liabilities		718	2,133	8,933	2,552	14,336	20,231

Notes to the Financial Statements

for the year ended 30 June 2019

Note 17. Material budget variations

Council's original financial budget for 18/19 was adopted by the Council on 27/06/2018 and is unaudited.

While the Income Statement included in this General Purpose Financial Statements must disclose the original budget adopted by Council, the Local Government Act 1993 requires Council to review its financial budget on a quarterly basis, so that it is able to manage the various variations between actuals versus budget that invariably occur throughout the year.

This note sets out the details of **material variations** between Council's original budget and its actual results for the year as per the Income Statement – even though such variations may have been adjusted for during each quarterly budget review.

Material variations represent those variances between the original budget figure and the actual result that amount to **10%** or more.

Variation Key: **F** = Favourable budget variation, **U** = Unfavourable budget variation.

\$ '000	2019 Budget	2019 Actual	2019 ----- Variance -----	
REVENUES				
Rates and annual charges	22,116	22,385	269	1% F
User charges and fees	18,340	14,302	(4,038)	(22)% U
Private works revenues were overstated in the original budget as were internal plant hire revenues.				
Interest and investment revenue	1,237	1,281	44	4% F
Other revenues	849	569	(280)	(33)% U
Council overestimated its other revenues budget for the year.				
Operating grants and contributions	17,546	20,645	3,099	18% F
Grants and contributions are often announced during the year in which they are received. Council had not budgeted for the early payment of the Financial Assistance Grant.				
Capital grants and contributions	13,203	10,825	(2,378)	(18)% U
Council budgeted for additional roads grants that did not eventuate.				
Net gains from disposal of assets	–	459	459	∞ F
Council had not budgeted for the gain on disposal of assets. These gains have been netted against expenses.				

Notes to the Financial Statements

for the year ended 30 June 2019

Note 17. Material budget variations

\$ '000	2019 Budget	2019 Actual	2019 ----- Variance -----	
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EXPENSES

Employee benefits and on-costs	17,368	21,224	(3,856)	(22)%	U
There was a mapping error of approx \$2.5M between labour costs and materials and contracts. Additionally, ELE costs were also understated.					
Borrowing costs	877	1,323	(446)	(51)%	U
Council had underestimated the budget for borrowing costs					
Materials and contracts	22,275	22,390	(115)	(1)%	U
Depreciation and amortisation	13,876	16,991	(3,115)	(22)%	U
Depreciation expenses increased after recent revaluations.					
Other expenses	6,629	4,540	2,089	32%	F
Council overestimated the budget for other expenses.					
Revaluation decrement / impairment of IPP&E	—	646	(646)	∞	U
Impairment costs were not calculated in the original budget.					

STATEMENT OF CASH FLOWS

Net cash provided from (used in) operating activities	26,292	13,555	(12,737)	(48)%	U
Actual operating costs have increased compared to budget to offset the reduction in capital expenditure.					
Net cash provided from (used in) investing activities	(31,250)	(29,504)	1,746	(6)%	F
Council's capital expenditure budget was well above actual costs meaning many costs became operational rather than capital.					
Net cash provided from (used in) financing activities	1,519	(1,353)	(2,872)	(189)%	U
Council budgeted for a new loan of \$3m which did not occur during the year.					

Notes to the Financial Statements

for the year ended 30 June 2019

Note 18. Fair Value Measurement

The Council measures the following asset and liability classes at fair value on a recurring basis:

- Infrastructure, property, plant and equipment
- Financial assets and liabilities

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

(1) Assets and liabilities that have been measured and recognised at fair values

2019	Notes	Fair value measurement hierarchy				Total
		Date of latest valuation	Level 1 Quoted prices in active mkts	Level 2 Significant observable inputs	Level 3 Significant unobserv-able inputs	
Recurring fair value measurements						
Infrastructure, property, plant and equipment	9(a)					
Plant & Equipment		30/06/18	—	—	15,375	15,375
Office Equipment, Furniture & Fittings		30/06/18	—	—	606	606
Operational Land		30/06/18	—	7,450	—	7,450
Community Land		30/06/18	—	—	7,597	7,597
Land Improvements		30/06/18	—	—	495	495
Buildings – Specialised		30/06/18	—	—	10,304	10,304
Buildings Non-Specialised		30/06/18	—	—	48,243	48,243
Other structures		30/06/19	—	—	5,278	5,278
Roads		30/06/15	—	—	222,911	222,911
Bridges		30/06/15	—	—	30,233	30,233
Footpaths		30/06/15	—	—	5,620	5,620
Kerb & Gutter		30/06/15	—	—	7,794	7,794
Bulk Earthworks		30/06/15	—	—	95,290	95,290
Stormwater Drainage		30/06/15	—	—	11,466	11,466
Water Supply Network		30/06/17	—	—	41,315	41,315
Sewer Network		30/06/17	—	—	45,288	45,288
Swimming Pools		30/06/19	—	—	4,618	4,618
Other Open Space & Recreational Assets		30/06/19	—	—	6,939	6,939
Library Books		30/06/18	—	—	188	188
Reinstatements		30/06/19	—	—	326	326
Total infrastructure, property, plant and equipment			—	7,450	559,886	567,336

Notes to the Financial Statements

for the year ended 30 June 2019

Note 18. Fair Value Measurement (continued)

		Fair value measurement hierarchy				
		Date of latest valuation	Level 1 Quoted prices in active mkts	Level 2 Significant observable inputs	Level 3 Significant unobserv-able inputs	Total
2018	Notes					
Recurring fair value measurements						
Infrastructure, property, plant and equipment	9(a)					
Plant & Equipment		30/06/18	—	—	14,690	14,690
Office Equipment, Furniture & Fittings		30/06/18	—	—	635	635
Operational Land		30/06/18	—	6,441	—	6,441
Community Land		30/06/18	—	—	7,596	7,596
Land Improvements		30/06/18	—	—	450	450
Buildings – Specialised		30/06/18	—	—	13,866	13,866
Buildings Non-Specialised		30/06/18	—	—	47,894	47,894
Other structures		03/06/13	—	—	3,777	3,777
Roads		30/06/15	—	—	222,659	222,659
Bridges		30/06/15	—	—	28,476	28,476
Footpaths		30/06/15	—	—	5,657	5,657
Kerb & Gutter		30/06/15	—	—	7,794	7,794
Bulk Earthworks		30/06/15	—	—	95,290	95,290
Stormwater Drainage		30/06/15	—	—	11,512	11,512
Water Supply Network		30/06/17	—	—	41,301	41,301
Sewer Network		30/06/17	—	—	41,426	41,426
Swimming Pools		30/06/13	—	—	4,243	4,243
Other Open Space & Recreational Assets		30/06/13	—	—	6,667	6,667
Library Books		30/06/18	—	—	180	180
Reinstatements		30/06/18	—	—	351	351
Total infrastructure, property, plant and equipment			—	6,441	554,464	560,905

Note that capital WIP is not included above since it is carried at cost.

(2) Transfers between level 1 and level 2 fair value hierarchies

During the year, there were no transfers between level 1 and level 2 fair value hierarchies for recurring fair value measurements.

(3) Valuation techniques used to derive level 2 and level 3 fair values

Where Council is unable to derive fair valuations using quoted market prices of identical assets (ie. level 1 inputs) Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

Infrastructure, property, plant and equipment (IPP&E)

Plant and equipment

Council's Plant and Equipment incorporates

- Major plants- graders, loaders, rollers, trucks, tractors
- Fleet Vehicles- Cars, Utes etc.
- Minor Plant – Pumps, Chainsaws, brush cutters, mowers, concrete mixers, movie projectors

Council fair values plant and equipment using level 3 inputs. The observable Level 3 inputs used

- Quoted price for similar assets
- Purchase price
- Useful life of asset
- Current replacement Cost

Notes to the Financial Statements

for the year ended 30 June 2019

Note 18. Fair Value Measurement (continued)

The 'Cost Approach' is used to value Plant & Equipment

Furniture and fittings

Council's Furniture & Fittings incorporates

- Furniture and fittings- Desks, Chairs, Display Systems

Council fair values furniture fittings using level 3 inputs. The observable level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

The 'Cost Approach' is used to value Furniture & Fittings

Property, office equipment

Council's Office Equipment incorporates:

- Office Equipment: copiers, telephone system, projectors, fridges etc.

Council fair values office equipment using level 3 inputs. The observable Level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

Infrastructure – Roads/Bulk Earthworks

The road carriageway is defined as the trafficable portion of a road, between but not including the kerb and gutter and would include any paved makers parking places alongside roadside.

Council's Road Asset Data contains detailed dimensions and specification for all Council roads.

Council fair values, road infrastructure using Level 3 inputs at a component level.

The 'Cost Approach' is used to value roads by componentising the assets into significant parts and then rolling up these component values to provide an overall road valuation (for each road segment) within Council's Asset System.

Level of componentisation adopted by Council is in accordance with AASB 116, OLG Circular 09-09 and the Institute of Public Works Engineers International Infrastructure Management Manual (IIMM).

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Useful life and residual value
- Asset Condition
- Dimensions and Specification
- Remaining Life of Carriageway
- Unit Rates

There were no changes in valuation technique from prior year.

Infrastructure - Bridges

A bridge is defined as all structures that convey a road, a footpath or a cycleway across any other physical feature (including waterways and other roads) but do not include culverts.

Council Road Asset Data contains detailed dimensions and specification for all Council's bridges.

Council fair values, bridges (non- componentised) using Level 3 inputs.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 18. Fair Value Measurement (continued)

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of bridges takes into consideration the various type of structures such as:

- Bridge Deck & Superstructure
- Bridge Abutments & Foundations
- Bridge rails and hand rails

There were no changes in valuation technique from prior year.

The 'Cost Approach' is used to value bridges.

Infrastructure - Footpaths

A footpath is defined as all footways (including those shared with a cycleway) sealed or non-sealed.

Council Road Asset Data contains detailed dimensions and specifications for all Council footpaths.

Council fair values, footpaths (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In additions, the value of footpaths takes into consideration the various type of structure such as:

- Length
- Construction Materials

The 'Cost Approach' is used to value footpaths.

Infrastructure - Drainage

Council's Drainage Assets comprises pits, pipes, culverts, open channels, headwalls used to collect and remove stormwater.

Council carries fair values for drainages assets (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of drainage assets takes into consideration the various type if structure such as:

- Pipe Diameter
- Pit Type
- Water Quality Device Type
- Culverts and Headwall Constructions Type

The 'Cost Approach' is used to value drainage assets.

Property: - Operational Land

Notes to the Financial Statements

for the year ended 30 June 2019

Note 18. Fair Value Measurement (continued)

Council's "Operational" land by definition has no special restriction other than those that may apply to any piece of land.

Council carries fair values operational land by an External Valuer every 5 years (last valuation being 2013) using Level 2 inputs.

The unobservable Level 2 inputs used include:

- Land Area
- Rate per square Metre
- Planning and Other Restrictions
- Description of Land

The 'Market Approach' is used to value the Operational Land.

Property: - Community Land

Council's "Community" land (including owned by Council, the Crown and various other Government Agencies that is managed by Council) by definition is land intended for public access and use or where other restrictions applying to the land create some obligation to maintain public access (such as a trust deed, dedication under section 94 of the Environment Planning and Assessment Act 1979). This gives rise to the restrictions in the Act, intended to preserve the qualities of the land.

Community Land:

- Cannot be sold
- Cannot be leased, licensed, or any other estate granted over the land for more than 21 years and
- Must have a plan of management for it

In relation to Community Land the Division of Local Government has reviewed its positions on the use of the Valuer General's Valuations of community land and in association with the Local Government Accounting Advisory Group, the Division has determined that community land may be valued as follows.

- The NSW Valuer General's valuations may be used under revaluation model to represent fair value for the revaluation of community land under clause 31 of AASB 116.

Council fair values community land using unobservable Level 3 inputs based on inputs on either the UCV (Unimproved Capital Value) provided by the Valuer General or an average unit rate based on the UCV and allocated by Council against those properties where the Valuer General did not provide a UCV.

The 'Cost Approach' is used to value Community land.

Land improvements

Council's Land improvements incorporates

- Sprinkler & Watering Systems
- Cemetery Irrigation

Council carries fair values of land reserves using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of consumption
- Asset Condition
- Dimensions and Specification

The cost approach is used to value the land improvements

Buildings (specialised and non-specialised) Property:

Council Buildings incorporates Council administration buildings, Libraries, Public Amenities, Sporting Club Houses, Kiosks and Amenities, Depot Buildings and workshops, Halls & Community Centres and Rural Fire Service Buildings.

Council carries fair values building using Level 3 inputs. Valuations are generally carried out by an external Valuer using the cost approach. This approach estimates the replacement cost for each building by componentising the building (for complex structures) into significant parts with different useful life and taking in to account a range of factors. Buildings are physically inspected and although rates based on square meters could be supported from the market evidence, extensive professional

Notes to the Financial Statements

for the year ended 30 June 2019

Note 18. Fair Value Measurement (continued)

judgement, and condition and consumption rates etc. impact significantly on the final value determination of fair value. As such these assets are classified as having being valued using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Consumption rate
- Future Economic Benefits
- Condition
- Useful Life of an asset

The 'Cost Approach' is used to value specialised buildings

Other structures, swimming pools, open space and recreation:

Council's other structures incorporates the following types of assets:

- Significant single assets such as swimming pools, playgrounds, floodlighting system, tennis courts, tennis shelters, grandstands etc. and
- Aggregated lower value assets such as recreational / park infrastructures (picnic tables, seats, bollards, fences BBQs etc.)

Council carries fair value of other structures assets (non-componentised) using Level 3 inputs. Such valuations are undertaken by Council Staff or by an external valuer depending on the structure.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates

The "Cost Approach" is used to value other structures

Water supply network

Council's Water Supply Network incorporates:

- Water Lines
- Water Meters
- Pumping Stations
- Reservoirs

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are undertaken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

The "Cost Approach" is used to value other structures

Sewerage network

Council's Sewerage Network incorporates:

- Sewer Lines
- Pump Stations
- Sewer Treatment Plant

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are undertaken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 18. Fair Value Measurement (continued)

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

(4) Fair value measurements using significant unobservable inputs (level 3)

a. The following tables present the changes in level 3 fair value asset classes.

\$ '000	IPP & E
2018	
Opening balance	495,694
Purchases (GBV)	17,533
Disposals (WDV)	(416)
Depreciation and impairment	(13,596)
FV gains – Income Statement ¹	(299)
Fair value changes	8,458
Other movement	(774)
Closing balance	506,600
2019	
Opening balance	506,600
Purchases (GBV)	20,063
Disposals (WDV)	(513)
Depreciation and impairment	(16,178)
FV gains – Income Statement ¹	(646)
Fair value changes	3,475
Other movement	(1,158)
Closing balance	511,643

(1) FV gains recognised in the Income Statement relating to assets still on hand at year end total

c. Significant unobservable valuation inputs used (for level 3 asset classes) and their relationship to fair value.

The following table summarises the quantitative information relating to the significant unobservable inputs used in deriving the various level 3 asset class fair values.

	Valuation technique/s	Unobservable inputs
Infrastructure, property, plant and equipment		
Plant and equipment	Cost used to approximate fair value	Gross Replacement cost, useful life, residual value
Office equipment	Cost used to approximate fair value	Gross Replacement cost, useful life, residual value
Community land	Land values obtained from NSW Valuer General	Land Value, Land area
Land improvements	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Building specialised	Cost used to approximate fair value	Cost per sq metre, consumption rate. Condition, useful life
Other structures	Cost used to approximate fair value	Asset Condition, remaining life, residual value

Notes to the Financial Statements

for the year ended 30 June 2019

Note 18. Fair Value Measurement (continued)

	Valuation technique/s	Unobservable inputs
Roads	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Bridges	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Footpaths	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Bulk earthworks	Cost used to approximate fair value	Cost per sq Metre
Stormwater drainage	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Water supply network	Cost used to approximate fair value, NSW Reference Rates Manual	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Sewerage network	Cost used to approximate fair value, NSW Reference Rates Manual	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Swimming pool	Cost used to approximate fair value	Cost per unit

(5) Highest and best use

All of Council's non-financial assets are considered as being utilised for their highest and best use.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 19. Related Party Transactions

Key management personnel

Key management personnel (KMP) of the council are those persons having the authority and responsibility for planning, directing and controlling the activities of the council, directly or indirectly.

The aggregate amount of KMP compensation included in the Income Statement is:

\$ '000	2019	2018
Compensation:		
Short-term benefits	1,256	922
Other long-term benefits	137	83
Termination benefits	328	140
Total	1,721	1,145

Notes to the Financial Statements

for the year ended 30 June 2019

Note 20. Statement of developer contributions

Under the *Environmental Planning and Assessment Act 1979*, Council has significant obligations to provide Section 7.11 (contributions towards provision or improvement of amenities or services) infrastructure in new release areas.

It is possible that the funds contributed may be less than the cost of this infrastructure, requiring Council to borrow or use general revenue to fund the difference.

Summary of contributions and levies

	as at 30/6/2018			as at 30/6/2019				
		Contributions received during the year						
\$ '000	Opening Balance	Cash	Non-cash	Interest earned in year	Expenditure during year	Internal borrowing (to)/from	Held as restricted asset	Cumulative internal borrowings due/(payable)
Roads	601	268	–	12	(65)	–	816	–
S7.11 contributions – under a plan	601	268	–	12	(65)	–	816	–
S7.12 levies – under a plan	496	189	–	10	(186)	–	509	–
Total S7.11 and S7.12 revenue under plans	1,097	457	–	22	(251)	–	1,325	–
S7.11 not under plans	95	–	–	2	–	–	97	–
S64 contributions	848	20	–	17	–	–	885	–
Total contributions	2,040	477	–	41	(251)	–	2,307	–

S7.11 Contributions – under a plan

CONTRIBUTION PLAN (former Harden)

Roads	601	268	–	12	(65)	–	816	–
Total	601	268	–	12	(65)	–	816	–

S7.12 Levies – under a plan

CONTRIBUTION PLAN (former Boorowa)

Notes to the Financial Statements

for the year ended 30 June 2019

Note 20. Statement of developer contributions (continued)

\$ '000	as at 30/6/2018	Contributions received during the year		Interest earned in year	Expenditure during year	Internal borrowing (to)/from	as at 30/6/2019	
	Opening Balance	Cash	Non-cash				Held as restricted asset	Cumulative internal borrowings due/(payable)
Roads	147	–	–	3	–	–	150	–
Community facilities	100	–	–	2	–	–	102	–
Total	247	–	–	5	–	–	252	–
CONTRIBUTION PLAN (former Harden)								
Other	222	30	–	5	(186)	–	71	–
Total	222	30	–	5	(186)	–	71	–
CONTRIBUTION PLAN NUMBER Former Young								
Community facilities	27	159	–	–	–	–	186	–
Total	27	159	–	–	–	–	186	–
S7.11 Contributions – not under a plan								
(former Young)								
Drainage	29	–	–	1	–	–	30	–
Parking	66	–	–	1	–	–	67	–
Total	95	–	–	2	–	–	97	–

Notes to the Financial Statements

for the year ended 30 June 2019

Note 21. Financial result and financial position by fund

\$ '000	Other [*] 2019	General ¹ 2019	Water 2019	Sewer 2019
Income Statement by fund				
Income from continuing operations				
Rates and annual charges	—	15,366	2,911	4,108
User charges and fees	—	7,599	6,541	162
Interest and investment revenue	115	681	375	110
Other revenues	—	549	20	—
Grants and contributions provided for operating purposes	1,887	18,707	51	—
Grants and contributions provided for capital purposes	—	10,803	13	9
Other income				
Net gains from disposal of assets	—	459	—	—
Total income from continuing operations	2,002	54,164	9,911	4,389
Expenses from continuing operations				
Employee benefits and on-costs	11	19,333	992	888
Borrowing costs	—	999	—	324
Materials and contracts	1,479	17,766	2,169	976
Depreciation and amortisation	159	14,663	981	1,188
Other expenses	21	804	3,627	88
Revaluation decrement /impairment of IPPE	—	646	—	—
Total expenses from continuing operations	1,670	54,211	7,769	3,464
Operating result from continuing operations	332	(47)	2,142	925
Net operating result for the year	332	(47)	2,142	925
Net operating result attributable to each council fund	332	(47)	2,142	925
Net operating result for the year before grants and contributions provided for capital purposes	332	(10,850)	2,129	916

NB. All amounts disclosed above are gross – that is, they include internal charges and recoveries made between the funds.

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

(1) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 21. Financial result and financial position by fund (continued)

\$ '000	Other [*] 2019	General ¹ 2019	Water 2019	Sewer 2019
Statement of Financial Position by fund				
ASSETS				
Current assets				
Cash and cash equivalents	3,296	2,821	5,354	(110)
Investments	–	17,917	8,064	1,075
Receivables	339	15,643	2,304	453
Inventories	–	875	–	–
Other	–	26	–	–
Total current assets	3,635	37,282	15,722	1,418
Non-current assets				
Infrastructure, property, plant and equipment	767	485,160	41,466	46,573
Total non-current assets	767	485,160	41,466	46,573
TOTAL ASSETS	4,402	522,442	57,188	47,991
LIABILITIES				
Current liabilities				
Payables	181	6,763	652	43
Income received in advance	–	499	–	–
Borrowings	–	949	–	394
Provisions	–	6,557	314	165
Total current liabilities	181	14,768	966	602
Non-current liabilities				
Payables	–	30	–	–
Borrowings	–	3,484	–	7,029
Provisions	–	8,219	–	–
Total non-current liabilities	–	11,733	–	7,029
TOTAL LIABILITIES	181	26,501	966	7,631
Net assets	4,221	495,941	56,222	40,360
EQUITY				
Accumulated surplus	4,219	473,871	54,718	38,946
Revaluation reserves	2	21,285	1,504	1,414
Other reserves	–	785	–	–
Council equity interest	4,221	495,941	56,222	40,360
Total equity	4,221	495,941	56,222	40,360

NB. All amounts disclosed above are gross – that is, they include internal charges and recoveries made between the funds. Assets and liabilities shown in the water and sewer columns are restricted for use for these activities.

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

(1) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 22(a). Statement of performance measures – consolidated results

\$ '000	Amounts 2019	Indicator 2019	Prior periods		Benchmark
			2018	2017	
1. Operating performance ratio					
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1, 2}	(7,286)	(12.31)%	(8.75)%	(6.64)%	>0.00%
Total continuing operating revenue excluding capital grants and contributions ¹	59,182				
2. Own source operating revenue ratio					
Total continuing operating revenue excluding all grants and contributions ¹	38,081	54.40%	62.00%	32.58%	>60.00%
Total continuing operating revenue ¹	70,007				
3. Unrestricted current ratio					
Current assets less all external restrictions	33,927	3.86x	3.44x	5.53x	>1.50x
Current liabilities less specific purpose liabilities	8,783				
4. Debt service cover ratio					
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	11,028	4.12x	1.78x	2.28x	>2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)	2,676				
5. Rates, annual charges, interest and extra charges outstanding percentage					
Rates, annual and extra charges outstanding	2,430	10.12%	8.31%	6.76%	<10.00%
Rates, annual and extra charges collectible	24,022				
6. Cash expense cover ratio					
Current year's cash and cash equivalents plus all term deposits	37,629	8.52 mths	12.87 mths	12.10 mths	>3.00 mths
Monthly payments from cash flow of operating and financing activities	4,417				

(1) Excludes fair value adjustments, reversal of revaluation decrements, net gain on sale of assets, and net loss of interests in joint ventures and associates.

(2) Excludes impairment/revaluation decrements, net loss on sale of assets, and net loss on share of interests in joint ventures and associates

Notes to the Financial Statements

for the year ended 30 June 2019

Note 22(b). Statement of performance measures – by fund

\$ '000	General Indicators ³		Water Indicators		Sewer Indicators		Benchmark
	2019	2018	2019	2018	2019	2018	
1. Operating performance ratio							
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1, 2}	(23.01)%	(16.08)%	21.51%	13.57%	20.91%	17.86%	>0.00%
Total continuing operating revenue excluding capital grants and contributions ¹							
2. Own source operating revenue ratio							
Total continuing operating revenue excluding capital grants and contributions ¹	42.91%	51.80%	98.84%	97.77%	99.79%	99.23%	>60.00%
Total continuing operating revenue ¹							
3. Unrestricted current ratio							
Current assets less all external restrictions	3.66x	3.44x	24.11x	538.38x	3.24x	8.62x	>1.50x
Current liabilities less specific purpose liabilities							
4. Debt service cover ratio							
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	2.33x	1.22x	∞	∞	7.49x	4.44x	>2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)							
5. Rates, annual charges, interest and extra charges outstanding percentage							
Rates, annual and extra charges outstanding	9.92%	4.56%	11.45%	27.82%	9.91%	10.45%	<10.00%
Rates, annual and extra charges collectible							
6. Cash expense cover ratio							
Current year's cash and cash equivalents plus all term deposits	7.33	11.49	∞	∞	∞	∞	>3.00
Payments from cash flow of operating and financing activities	mths	mths					mths

(1) - (2) Refer to Notes at Note 28a above.

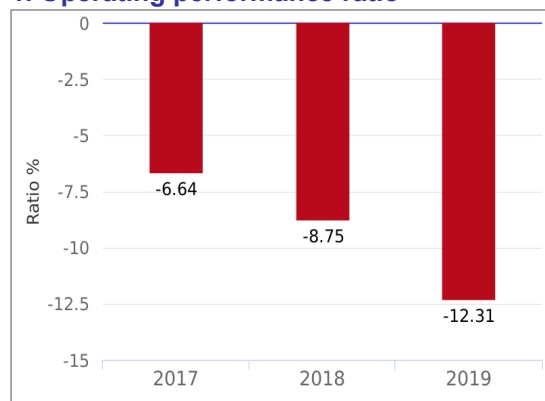
(3) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

Notes to the Financial Statements

for the year ended 30 June 2019

Note 22(c). Statement of performance measures – consolidated results (graphs)

1. Operating performance ratio



Purpose of operating performance ratio

This ratio measures Council's achievement of containing operating expenditure within operating revenue.

Commentary on 2018/19 result

2018/19 ratio (12.31)%

As in previous years, transition costs associated with the Council merger continue to have a detrimental impact on the operating result. Council is working to reduce these costs in 2020/21

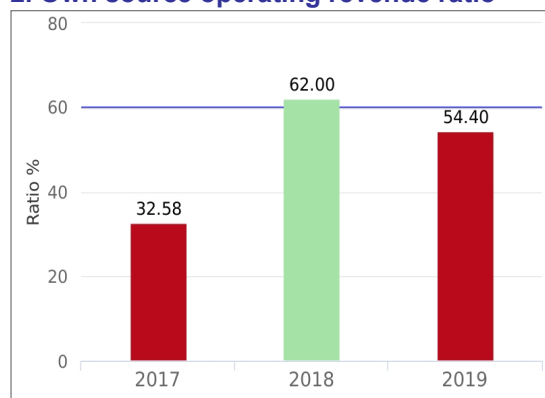
Benchmark: — > 0.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting #27

Ratio achieves benchmark

Ratio is outside benchmark

2. Own source operating revenue ratio



Purpose of own source operating revenue ratio

This ratio measures fiscal flexibility. It is the degree of reliance on external funding sources such as operating grants and contributions.

Commentary on 2018/19 result

2018/19 ratio 54.40%

Council is very close to benchmark this year after the positive result last year Council has again received significant operating grant income associated with the merger which has artificially lowered the ratio in 2019.

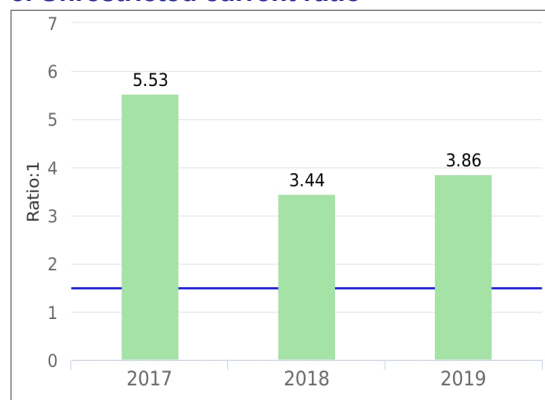
Benchmark: — > 60.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting #27

Ratio achieves benchmark

Ratio is outside benchmark

3. Unrestricted current ratio



Purpose of unrestricted current ratio

To assess the adequacy of working capital and its ability to satisfy obligations in the short term for the unrestricted activities of Council.

Commentary on 2018/19 result

2018/19 ratio 3.86x

Council remains well above the industry benchmark of 1.5 in 2019 and has sufficient working capital to meet all financial obligations as they fall due

Benchmark: — > 1.50x

Source of benchmark: Code of Accounting Practice and Financial Reporting #27

Ratio achieves benchmark

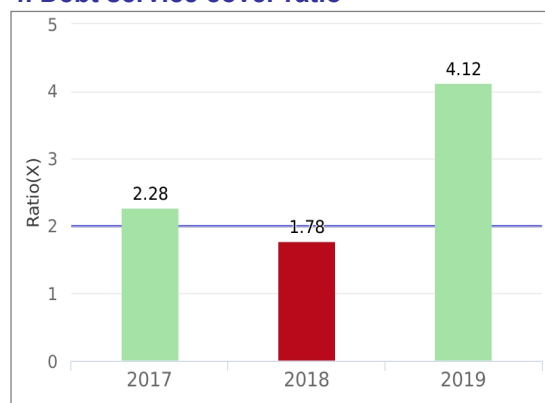
Ratio is outside benchmark

Notes to the Financial Statements

for the year ended 30 June 2019

Note 22(c). Statement of performance measures – consolidated results (graphs)

4. Debt service cover ratio



Purpose of debt service cover ratio

This ratio measures the availability of operating cash to service debt including interest, principal and lease payments

Commentary on 2018/19 result

2018/19 ratio 4.12x

In the 2018 financial period Council's Debt Service Cover Ratio was just below the industry Benchmark. In the 2019 financial period the ratio has seen a significant turnaround to be comfortable above the industry benchmark.

The turnaround is largely as a result of Council paying out debt in 2019.

Council remains in a comfortable financial position with sufficient operating cash to service debt repayments.

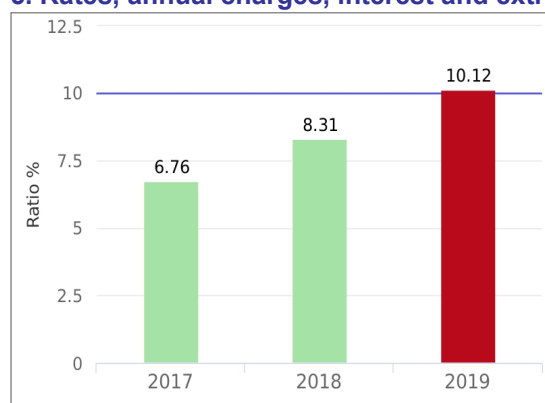
Benchmark: — > 2.00x

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting #27

Ratio is outside benchmark

5. Rates, annual charges, interest and extra charges outstanding percentage



Purpose of rates, annual charges, interest and extra charges outstanding

To assess the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of recovery efforts.

Commentary on 2018/19 result

2018/19 ratio 10.12%

In the 2019 financial period uncollected rates and annual charges have increased relative to 2018. Council sits at the benchmark standard for Rural Council's.

The impact of the severe drought has had a significant impact on the ability of rural ratepayers to pay rates and annual charges when they fall due.

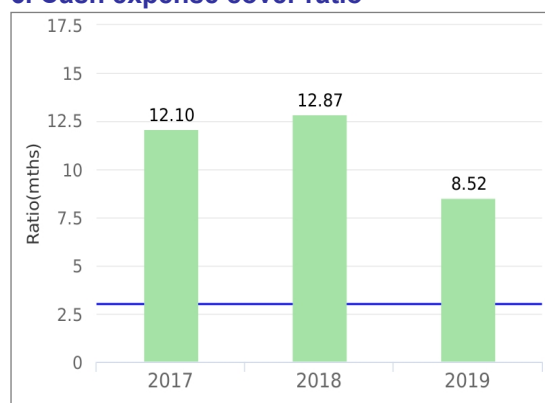
Benchmark: — < 10.00%

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting #27

Ratio is outside benchmark

6. Cash expense cover ratio



Purpose of cash expense cover ratio

This liquidity ratio indicates the number of months a Council can continue paying for its immediate expenses without additional cash inflow.

Commentary on 2018/19 result

2018/19 ratio 8.52 mths

In 2019 this ratio has deteriorated relative to 2018 however the ratio indicates that Council is able to pay its immediate expenses for a period of 8.5 months before it would have to seek additional cash externally in order to meet immediate expenses. Council sits comfortably above the minimum industry benchmark of 3.0 months.

Benchmark: — > 3.00mths

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting #27

Ratio is outside benchmark

Cr Brian Ingram
Mayor
Hilltops Council
Locked Bag 5
YOUNG NSW 2594

Contact: Dominika Ryan
Phone no: 02 9275 7336
Our ref: D2008130/1740

1 May 2020

Dear Mayor

**Report on the Conduct of the Audit
for the year ended 30 June 2019
Hilltops Council**

I have audited the general purpose financial statements (GPFS) of the Hilltops Council (the Council) for the year ended 30 June 2019 as required by section 415 of the *Local Government Act 1993* (the Act).

I expressed an unmodified opinion on the Council's GPFS.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2019 is issued in accordance with section 417 of the Act. This Report should be read in conjunction with my audit opinion on the GPFS issued under section 417(2) of the Act.

,

INCOME STATEMENT

Operating result

	2019 \$m	2018 \$m	Variance %
Rates and annual charges revenue	22.4	21.8	 2.8
Grants and contributions revenue	31.5	21.4	 47.2
Operating result for the year	3.3	(0.05)	 6,700
Net operating result before capital grants and contributions	(7.5)	(4.4)	 70.5

Council's operating result (\$3.3 million, including the effect of depreciation and amortisation expense of \$17.0 million) was \$3.4 million higher than the 2017–18 result. This was a result of significant increase in total revenue of \$12.5 million (21.5 per cent) offset by the increase in expenses of \$9.1 million (15.6 per cent).

The net operating result before capital grants and contributions (\$7.5 million) was \$3.1 million lower than the 2017–18 result.

As a result of the annual rates increase of 2.5 per cent, this year rates and annual charges revenue of \$22.4 million increased slightly by \$600,000 in comparison with \$21.8 million in 2017–18.

Grants and contributions revenue of \$31.5 million increased by \$10.0 million (47.2 per cent) in 2018–2019, mainly due to the grants for specific capital purposes and operating purposes, which increased by \$7.0 million and \$3.7 million respectively compared to prior year.

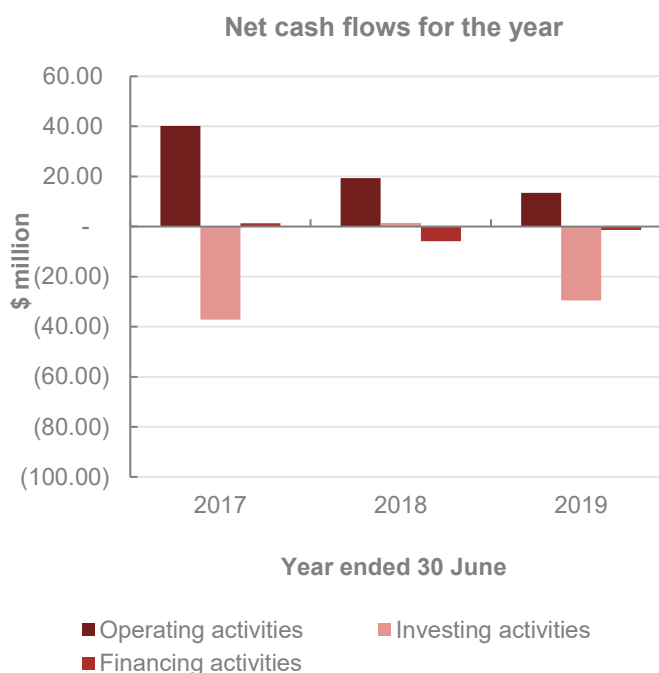
STATEMENT OF CASH FLOWS

The Statement of Cash Flows illustrates the flow of cash and cash equivalents moving in and out of Council during the year. Cash balance decreased by \$17.3 million to \$11.4 million in 2018–19 from prior year balance of \$28.7 million.

Cash inflows from operating activities decreased from \$19.4 million in 2017–18 to \$13.6 million, mainly due to higher payments relating to employee benefits and on-costs and materials and contracts.

Cash from investing activities decreased from a net cash inflow balance of \$1.5 million to a net cash outflow balance of \$29.5 million. This is mainly attributable to the purchase of investment securities in 2018–19 amounting to \$22.2 million).

Additionally, there was higher spending on infrastructure, property, plant and equipment, which increased to \$25.5 million from \$20.0 million last year.



FINANCIAL POSITION

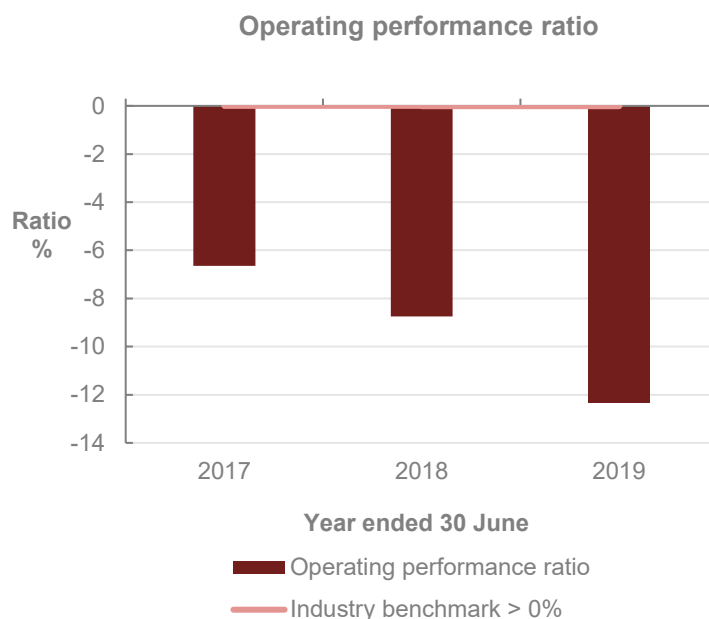
Cash and investments

Cash and investments	2019	2018	Commentary
	\$m	\$m	
External restrictions	21.2	25.4	• External restrictions include unspent specific purpose grants, developer contributions, domestic waste management charges, levies and planning agreements.
Internal restrictions	25.6	23.9	• Balances are internally restricted due to Council policy or decisions for forward plans including works program.
Unrestricted	(8.4)	0.7	• Unrestricted balances provide liquidity for day-to-day operations. The negative balance of \$8.4 million at 30 June 2019 relates to cash with internal restrictions utilised by the Council. Debtor balances realised in July 2019 resolved this issue.
Cash and investments	38.4	50.0	

PERFORMANCE

Operating performance ratio

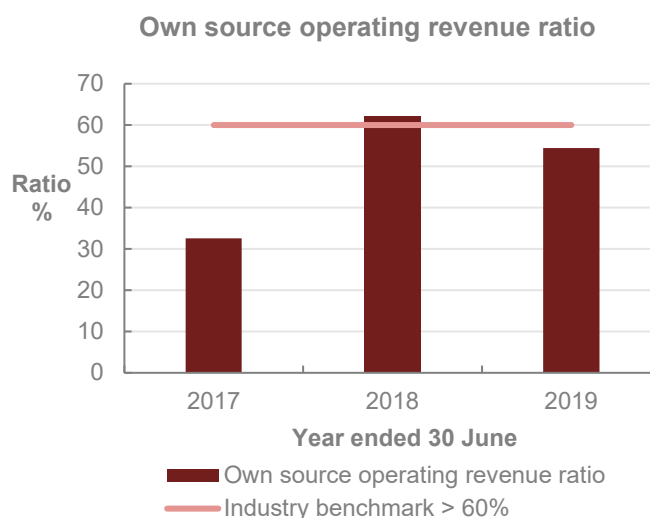
The 'operating performance ratio' measures how well council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by the former Office of Local Government (OLG) is greater than zero per cent.



Own source operating revenue ratio

Council is close to benchmark this year after meeting the benchmark last year. Council has received significant operating grant income in 2018–19 while revenue from other sources such as rates has stayed relatively constant. This has lowered the ratio in 2018–19.

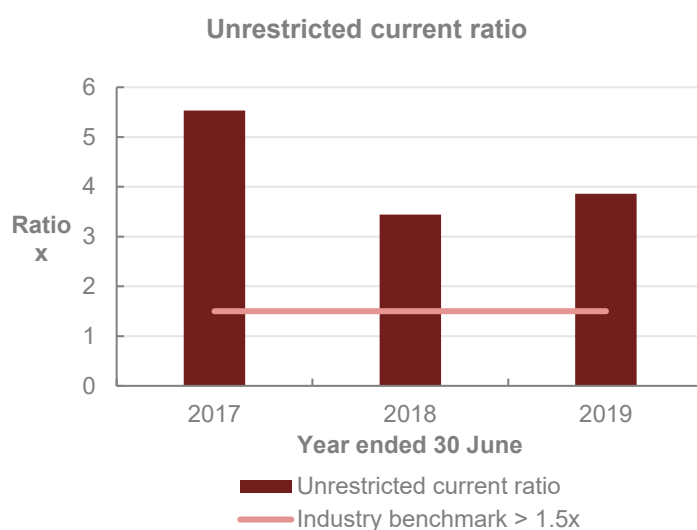
The 'own source operating revenue ratio' measures council's fiscal flexibility and the degree to which it relies on external funding sources such as operating grants and contributions. The benchmark set by the former OLG is greater than 60 per cent.



Unrestricted current ratio

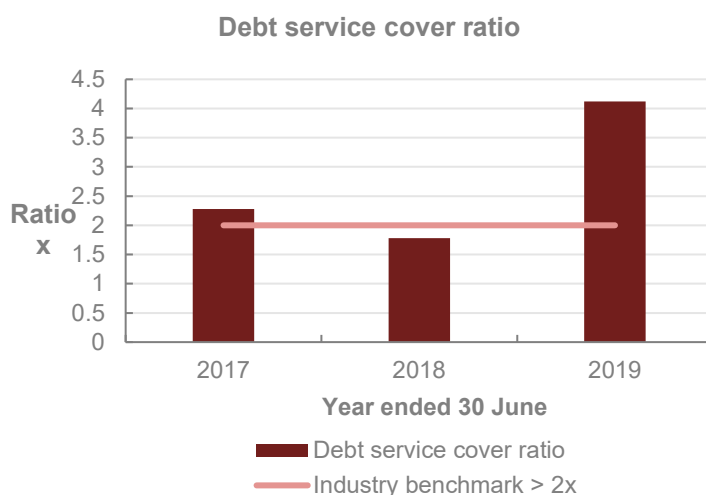
Council remains above the industry benchmark of 1.5 in 2018–19 and has sufficient working capital to meet all financial obligations as they fall due.

The 'unrestricted current ratio' is specific to local government and represents council's ability to meet its short-term obligations as they fall due. The benchmark set by the former OLG is greater than 1.5 times.



Debt service cover ratio

In 2017–18, Council's debt service cover ratio was just below the industry benchmark. In the current year, the ratio has seen a significant turnaround to be above the industry benchmark. The turnaround is largely a result of Council repaying debt in 2018–19. The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by the former OLG is greater than two times.

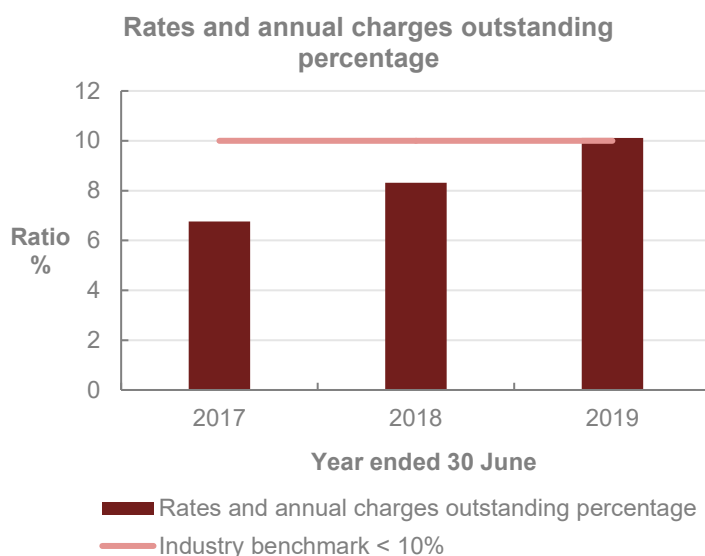


Rates and annual charges outstanding percentage

In 2018–19, uncollected rates and annual charges have increased relative to last year.

Council sits at the benchmark standard for rural councils. The impact of the severe drought has had a significant impact on the ability of rural ratepayers to pay rates and annual charges when they fall due.

The 'rates and annual charges outstanding percentage' assesses the impact of uncollected rates and annual charges on council's liquidity and the adequacy of debt recovery efforts. The benchmark set by the former OLG is less than 10 per cent for regional and rural councils.

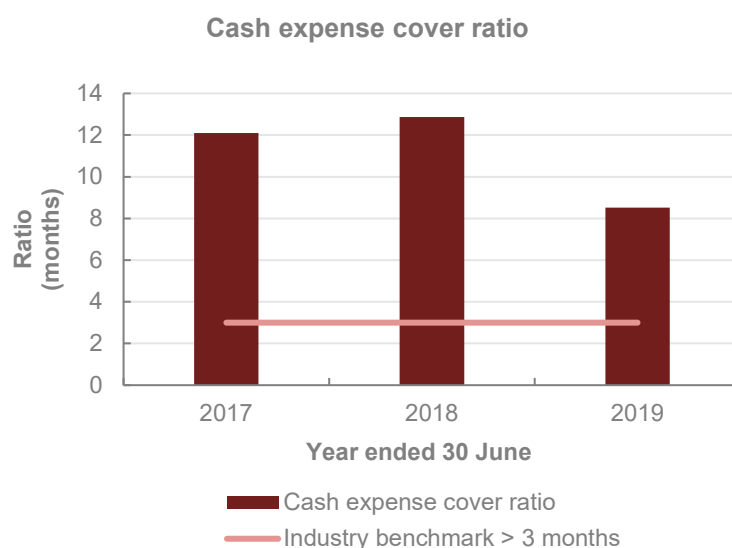


Cash expense cover ratio

In 2018–19, this ratio has deteriorated relative to 2017–18. However, the ratio indicates that Council is able to pay its immediate expenses for a period of 8.5 months before it would have to seek additional cash externally to meet immediate expenses.

Council sits above the minimum industry benchmark of 3.0 months.

This liquidity ratio indicates the number of months the council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by the former OLG is greater than three months.



Infrastructure, property, plant and equipment renewals

Infrastructure, property, plant and equipment renewals for 2018–19 amounted to \$17.6 million, a decrease of \$1.9 million from prior year balance of \$19.5 million. The decrease was mainly caused by the net effect of the following movements:

- capital work in progress renewals increased to \$5.5 million in 2018–19 from \$1.0 million in 2017–18
- plant and equipment renewals decreased to \$3.3 million from \$3.9 million in 2017–18
- buildings renewals (specialised and non-specialised) have decreased significantly to \$126,000 in 2018–19 from \$1.6 million last year
- roads renewals increased to \$8.5 million from \$7.9 million in 2017–18
- footpaths renewals decreased to \$70,000 in 2018–19 from \$491,000 in 2017–18.

OTHER MATTERS

New accounting standards implemented

Application period	Overview
AASB 9 'Financial Instruments' and revised AASB 7 'Financial Instruments: Disclosures'	
For the year ended 30 June 2019	AASB 9 replaces AASB 139 'Financial Instruments: Recognition and Measurement' and changes the way financial instruments are treated for financial reporting. Key changes include: • a simplified model for classifying and measuring financial assets • a new method for calculating impairment • a new type of hedge accounting that more closely aligns with risk management. The revised AASB 7 includes new disclosures as a result of AASB 9. Council's disclosure of the impact of adopting AASB 9 is disclosed in Note 15.

Legislative compliance

My audit procedures did not identify any instances of non-compliance with legislative requirements or a material deficiency in the Council's accounting records or financial statements. The Council's:

- accounting records were maintained in a manner and form to allow the GPFS to be prepared and effectively audited
- staff provided all accounting records and information relevant to the audit.



Dominika Ryan
Director, Financial Audit

cc: Mr Anthony O'Reilly, General Manager
Mr Andrew Fletcher, Chair of the Audit, Risk and Improvement Committee
Mr Jim Betts, Secretary of the Department of Planning, Industry and Environment

INDEPENDENT AUDITOR'S REPORT

Report on the general purpose financial statements

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying financial statements of Hilltops Council (the Council), which comprise the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2019, the Statement of Financial Position as at 30 June 2019, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended, notes comprising a summary of significant accounting policies and other explanatory information, and the Statement by Councillors and Management.

In my opinion:

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
 - have been presented, in all material respects, in accordance with the requirements of this Division
 - are consistent with the Council's accounting records
 - present fairly, in all material respects, the financial position of the Council as at 30 June 2019, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Other Information

The Council's annual report for the year ended 30 June 2019 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the special purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the special purpose financial statements and Special Schedule - Permissible income for general rates.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993*, and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting except where the Council will be dissolved or amalgamated by an Act of Parliament, or otherwise cease operations.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements.

Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

My opinion does not provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note 17 Material budget variations
- on the Special Schedules. A separate opinion has been provided on Special Schedule - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.



Dominika Ryan
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

1 May 2020
SYDNEY

Hilltops Council

SPECIAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2019



Special Purpose Financial Statements

for the year ended 30 June 2019

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Background

- i. These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
- ii. The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.

- iii. For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).

- iv. In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).

Hilltops Council

Special Purpose Financial Statements

for the year ended 30 June 2019

Statement by Councillors and Management made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached Special Purpose Financial Statements have been prepared in accordance with:

- the NSW Government Policy Statement 'Application of National Competition Policy to Local Government',
- the Division of Local Government Guidelines 'Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality',
- the Local Government Code of Accounting Practice and Financial Reporting,
- the NSW Office of Water Best-Practice Management of Water and Sewerage Guidelines.

To the best of our knowledge and belief, these statements:

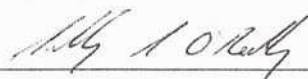
- present fairly the operating result and financial position for each of Council's declared business activities for the year, and
- accord with Council's accounting and other records.
- present overhead reallocation charges to the water and sewerage businesses as fair and reasonable.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 29 January 2020.



Brian Ingram
Mayor
30 April 2020



Anthony O'Reilly
General Manager
30 April 2020



John Hughes
Responsible Accounting Officer
30 April 2020

Income Statement – Water Supply Business Activity

for the year ended 30 June 2019

\$ '000	2019	2018
Income from continuing operations		
Access charges	2,911	2,811
User charges	6,537	5,088
Fees	4	65
Interest	375	174
Grants and contributions provided for non-capital purposes	51	124
Other income	20	14
Total income from continuing operations	9,898	8,276
Expenses from continuing operations		
Employee benefits and on-costs	992	743
Materials and contracts	2,169	1,682
Depreciation, amortisation and impairment	981	960
Water purchase charges	3,535	3,620
Other expenses	92	148
Total expenses from continuing operations	7,769	7,153
Surplus (deficit) from continuing operations before capital amounts	2,129	1,123
Grants and contributions provided for capital purposes	13	62
Surplus (deficit) from continuing operations after capital amounts	2,142	1,185
Surplus (deficit) from all operations before tax	2,142	1,185
Less: corporate taxation equivalent (27.5%) [based on result before capital]	(585)	(309)
SURPLUS (DEFICIT) AFTER TAX	1,557	876
Plus opening retained profits	52,576	51,390
Less:		
– Corporate taxation equivalent	585	309
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	54,718	52,575
Return on capital %	5.1%	2.7%
Subsidy from Council	–	–
Calculation of dividend payable:		
Surplus (deficit) after tax	1,557	876
Less: capital grants and contributions (excluding developer contributions)	(13)	(62)
Surplus for dividend calculation purposes	1,544	814
Potential dividend calculated from surplus	772	407

Income Statement – Sewerage Business Activity for the year ended 30 June 2019

\$ '000	2019	2018
Income from continuing operations		
Access charges	4,108	3,712
User charges	44	295
Liquid trade waste charges	23	16
Fees	95	98
Interest	110	117
Total income from continuing operations	4,380	4,238
Expenses from continuing operations		
Employee benefits and on-costs	888	354
Borrowing costs	324	561
Materials and contracts	976	1,212
Depreciation, amortisation and impairment	1,188	1,171
Other expenses	88	183
Total expenses from continuing operations	3,464	3,481
Surplus (deficit) from continuing operations before capital amounts	916	757
Grants and contributions provided for capital purposes	9	33
Surplus (deficit) from continuing operations after capital amounts	925	790
Surplus (deficit) from all operations before tax	925	790
Less: corporate taxation equivalent (27.5%) [based on result before capital]	(252)	(208)
SURPLUS (DEFICIT) AFTER TAX	673	582
Plus opening retained profits	38,021	37,231
Less:		
– Corporate taxation equivalent	252	208
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	38,946	38,021
Return on capital %	2.7%	3.1%
Subsidy from Council	–	–
Calculation of dividend payable:		
Surplus (deficit) after tax	673	582
Less: capital grants and contributions (excluding developer contributions)	(9)	(33)
Surplus for dividend calculation purposes	664	549
Potential dividend calculated from surplus	332	274

Income Statement – South West Regional Waste Management Group

for the year ended 30 June 2019

\$ '000	2019 Category 2	2018 Category 2
Income from continuing operations		
Interest	115	–
Grants and contributions provided for non-capital purposes	1,871	1,747
Other income	–	3
Total income from continuing operations	1,986	1,750
Expenses from continuing operations		
Employee benefits and on-costs	6	6
Materials and contracts	1,475	1,081
Depreciation, amortisation and impairment	159	133
Other expenses	15	17
Total expenses from continuing operations	1,655	1,237
Surplus (deficit) from continuing operations before capital amounts	331	513
Surplus (deficit) from continuing operations after capital amounts	331	513
Surplus (deficit) from all operations before tax	331	513
Less: corporate taxation equivalent (27.5%) [based on result before capital]	(91)	(141)
SURPLUS (DEFICIT) AFTER TAX	240	372
Plus opening retained profits	3,772	3,259
Plus adjustments for amounts unpaid:		
Add:		
Less:		
Closing accumulated surplus	4,012	3,631
Return on capital %	43.2%	79.9%

Income Statement – South West Rural Fire Zone

for the year ended 30 June 2019

\$ '000	2019 Category 2	2018 Category 2
Income from continuing operations		
Grants and contributions provided for non-capital purposes	16	–
Total income from continuing operations	16	–
Expenses from continuing operations		
Employee benefits and on-costs	5	6
Materials and contracts	4	32
Other expenses	6	36
Total expenses from continuing operations	15	74
Surplus (deficit) from continuing operations before capital amounts	1	(74)
Surplus (deficit) from continuing operations after capital amounts	1	(74)
Surplus (deficit) from all operations before tax	1	(74)
SURPLUS (DEFICIT) AFTER TAX	1	(74)
Plus opening retained profits	114	188
Plus adjustments for amounts unpaid:		
Add:		
Less:		
Closing accumulated surplus	115	114
Subsidy from Council	–	74

Statement of Financial Position – Water Supply Business Activity

as at 30 June 2019

\$ '000	2019	2018
ASSETS		
Current assets		
Cash and cash equivalents	5,354	2,492
Investments	8,064	8,064
Receivables	2,304	1,539
Total current assets	15,722	12,095
Non-current assets		
Infrastructure, property, plant and equipment	41,466	41,674
Total non-current assets	41,466	41,674
TOTAL ASSETS	57,188	53,769
LIABILITIES		
Current liabilities		
Payables	652	21
Provisions	314	–
Total current liabilities	966	21
Non-current liabilities		
Provisions	–	315
Total non-current liabilities	–	315
TOTAL LIABILITIES	966	336
NET ASSETS	56,222	53,433
EQUITY		
Accumulated surplus	54,718	52,575
Revaluation reserves	1,504	858
TOTAL EQUITY	56,222	53,433

Statement of Financial Position – Sewerage Business Activity

as at 30 June 2019

\$ '000	2019	2018
ASSETS		
Current assets		
Cash and cash equivalents	(110)	2,855
Investments	1,075	1,075
Receivables	453	388
Total current assets	1,418	4,318
Non-current assets		
Infrastructure, property, plant and equipment	46,573	42,392
Total non-current assets	46,573	42,392
TOTAL ASSETS	47,991	46,710
LIABILITIES		
Current liabilities		
Payables	43	65
Borrowings	394	378
Provisions	165	51
Total current liabilities	602	494
Non-current liabilities		
Borrowings	7,029	7,425
Total non-current liabilities	7,029	7,425
TOTAL LIABILITIES	7,631	7,919
NET ASSETS	40,360	38,791
EQUITY		
Accumulated surplus	38,946	38,021
Revaluation reserves	1,414	770
TOTAL EQUITY	40,360	38,791

Statement of Financial Position – South West Regional Waste Management Group

as at 30 June 2019

\$ '000	2019 Category 2	2018 Category 2
ASSETS		
Current assets		
Cash and cash equivalents	3,178	3,095
Receivables	338	35
Total current assets	3,516	3,130
Non-current assets		
Infrastructure, property, plant and equipment	767	642
Total non-current assets	767	642
TOTAL ASSETS	4,283	3,772
LIABILITIES		
Current liabilities		
Payables	178	–
Total current liabilities	178	–
TOTAL LIABILITIES	178	–
NET ASSETS	4,105	3,772
EQUITY		
Accumulated surplus	4,103	3,772
Revaluation reserves	2	–
TOTAL EQUITY	4,105	3,772

Statement of Financial Position – South West Rural Fire Zone

as at 30 June 2019

\$ '000	2019 Category 2	2018 Category 2
ASSETS		
Current assets		
Cash and cash equivalents	118	115
Receivables	1	–
Total current assets	119	115
TOTAL ASSETS	119	115
LIABILITIES		
Current liabilities		
Payables	3	–
Total current liabilities	3	–
TOTAL LIABILITIES	3	–
NET ASSETS	116	115
EQUITY		
Accumulated surplus	116	115
<u>TOTAL EQUITY</u>	<u>116</u>	<u>115</u>

Notes to the Special Purpose Financial Statements for the year ended 30 June 2019

Note 1. Significant Accounting Policies

A statement summarising the supplemental accounting policies adopted in the preparation of the Special Purpose Financial Statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these Special Purpose Financial Statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these Special Purpose Financial Statements have been prepared in accordance with the Local Government Act 1993 (NSW), the *Local Government (General) Regulation 2005*, and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, current values of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government.

The framework for its application is set out in the June 1996 NSW government policy statement titled 'Application of National Competition Policy to Local Government'.

The *Pricing and Costing for Council Businesses, A Guide to Competitive Neutrality* issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements.

These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, return on investments (rate of return), and dividends paid.

Declared business activities

In accordance with *Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality*, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

a. Hilltops Water Supply

Provision of reticulated water to the community of Hilltops.

b. Hilltops Sewerage Services

Provision of sewerage services to the community of Hilltops.

Category 2

(where gross operating turnover is less than \$2 million)

a. South West Slopes Regional Waste Management Group

b. South West Rural Fire Service

Notes to the Special Purpose Financial Statements for the year ended 30 June 2019

Note 1. Significant Accounting Policies (continued)

Monetary amounts

Amounts shown in the financial statements are in Australian dollars and rounded to the nearest one thousand dollars.

(i) Taxation equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs.

However, where Council does not pay some taxes which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are reflected in Special Purpose Financial Statements.

For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Corporate income tax rate – **27.5%**

Land tax – the first \$692,000 of combined land values attracts **0%**. For the combined land values in excess of \$692,001 up to \$4,231,000 the rate is **1.6% + \$100**. For the remaining combined land value that exceeds \$4,231,000 a premium marginal rate of **2.0%** applies.

Payroll tax – **5.45%** on the value of taxable salaries and wages in excess of \$850,000.

In accordance with the Department of Industry (DoI) – Water guidelines, a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the DoI – Water guidelines as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the *Local Government Act, 1993*.

Achievement of substantial compliance to the DoI – Water guidelines is not a prerequisite for the payment of the tax equivalent charges, however the payment must not exceed \$3 per assessment.

Income tax

An income tax equivalent has been applied on the profits of the business activities.

Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested.

Accordingly, the return on capital invested is set at a pre-tax level - gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 27.5%.

Income tax is only applied where a gain/ (loss) from ordinary activities before capital amounts has been achieved.

Since the taxation equivalent is notional – that is, it is payable to Council as the 'owner' of business operations - it represents an internal payment and has no effect on the operations of the Council. Accordingly, there is no need for disclosure of internal charges in the SPFS.

The rate applied of 27.5% is/is not the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

Local government rates and charges

A calculation of the equivalent rates and charges payable on all category 1 businesses has been applied to all land assets owned or exclusively used by the business activity.

Notes to the Special Purpose Financial Statements for the year ended 30 June 2019

Note 1. Significant Accounting Policies (continued)

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that council business activities face 'true' commercial borrowing costs in line with private sector competitors.

In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(ii) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed.

Subsidies occur when Council provides services on a less-than-cost-recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations.

Accordingly, 'subsidies disclosed' (in relation to National Competition Policy) represents the difference between revenue generated from 'rate of return' pricing and revenue generated from prices set by Council in any given financial year.

The overall effect of subsidies is contained within the Income Statement of each reported business activity.

(iii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Such funds are subsequently available for meeting commitments or financing future investment strategies.

The actual rate of return achieved by each business activity is disclosed at the foot of each respective Income Statement.

The rate of return is calculated as follows:

Operating result before capital income + interest expense

Written down value of I,PP&E as at 30 June

As a minimum, business activities should generate a return equal to the Commonwealth 10 year bond rate which is 1.32% at 30/6/19.

(iv) Dividends

Council is not required to pay dividends to either itself (as owner of a range of businesses) or to any external entities.

Local government water supply and sewerage businesses are permitted to pay an annual dividend from its water supply or sewerage business surplus.

Each dividend must be calculated and approved in accordance with the Department of Industry – Water guidelines and must not exceed:

- 550% of this surplus in any one year, or
- the number of water supply or sewerage assessments at 30 June 2019 multiplied by \$30 (less the payment for tax equivalent charges, not exceeding \$3 per assessment).

In accordance with the Department of Industry – Water guidelines a Dividend Payment form, Statement of Compliance, Unqualified Independent Financial Audit Report and Compliance Audit Report are required to be submitted to the Department of Industry – Water.

INDEPENDENT AUDITOR'S REPORT
Report on the special purpose financial statements
Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying special purpose financial statements (the financial statements) of Hilltops Council's (the Council) declared business activities, which comprise the Income Statement of each declared business activity for the year ended 30 June 2019, the Statement of Financial Position of each declared business activity as at 30 June 2019, Note 1 Significant Accounting Policies for the business activities declared by Council, and the Statement by Councillors and Management.

The declared business activities of the Council are:

- water Supply
- sewerage
- south West Regional Waste Management Group
- south West Rural Fire Zone

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's declared business activities as at 30 June 2019, and its financial performance for the year then ended, in accordance with the Australian Accounting Standards described in Note 1 and the Local Government Code of Accounting Practice and Financial Reporting – update number 27 (LG Code).

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to Note 1 to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2019 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 'Permissible income for general rates'.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in Note 1 to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting, unless it is not appropriate to do so.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

My opinion does not provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in cursive script, appearing to read 'D Ryan'.

Dominika Ryan
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

1 May 2020
SYDNEY

Hilltops Council

SPECIAL SCHEDULES
for the year ended 30 June 2019



Special Schedules

for the year ended 30 June 2019

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Permissible income for general rates

		2019/20 Former Boorowa Council	2019/20 Former Harden Shire Council	2019/20 Former Young Shire Council	2019/20 Hilltops Council	2018/19 Former Boorowa Council	2018/19 Former Harden Shire Council	2018/19 Former Young Shire Council	2018/19 Hilltops Council
\$ '000									
Notional general income calculation ¹									
Last year notional general income yield	a	2,582	2,965	7,489	13,036	2,530	2,907	7,351	12,788
Plus or minus adjustments ²	b	—	1	15	16	5	6	18	29
Notional general income	c = a + b	2,582	2,966	7,504	13,052	2,535	2,913	7,369	12,817
Permissible income calculation									
Or rate peg percentage	e	2.70%	2.70%	2.70%		2.30%	2.30%	2.30%	
Or plus rate peg amount	i = e x (c + g)	70	80	203	353	58	67	169	294
Sub-total	k = (c + g + h + i + j)	2,652	3,046	7,707	13,405	2,593	2,980	7,538	13,111
Plus (or minus) last year's carry forward total	l	17	13	49	79	7	(3)	38	42
Sub-total	n = (l + m)	17	13	49	79	7	(3)	38	42
Total permissible income	o = k + n	2,669	3,059	7,756	13,484	2,600	2,977	7,576	13,153
Less notional general income yield	p	2,670	3,058	7,761	13,489	2,582	2,965	7,489	13,036
Catch-up or (excess) result	q = o – p	(1)	1	(5)	(5)	18	13	87	118
Less unused catch-up ⁵	s	—	—	—	—	(1)	—	(38)	(39)
Carry forward to next year ⁶	t = q + r + s	(1)	1	(5)	(5)	17	13	49	79

(1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.

(2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the Valuation of Land Act 1916.

(5) Unused catch-up amounts will be deducted if they are not caught up within 2 years. Usually councils will have a nominal carry forward figure. These amounts can be adjusted for in setting the rates in a future year.

(6) Carry forward amounts which are in excess (an amount that exceeds the permissible income) require ministerial approval by order published in the NSW Government Gazette in accordance with section 512 of the Local Government Act 1993. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.

Report on Infrastructure Assets

as at 30 June 2019

Asset Class	Asset Category	Estimated cost		2018/19 Required maintenance ^a	2018/19 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		Estimated cost to bring assets to satisfactory standard	to bring to the agreed level of service set by Council					1	2	3	4	5
Buildings	Specialist Buildings	151	5	136	141	9,679	22,199	2.0%	6.0%	89.0%	3.0%	0.0%
	Non Specialised Buildings	1,528	35	472	481	48,243	91,741	6.0%	24.0%	62.0%	8.0%	0.0%
	Specialised Buildings Water	—	—	1	1	—	18	100.0%	0.0%	0.0%	0.0%	0.0%
	Specialised Buildings Sewer	24	12	4	4	625	804	26.0%	0.0%	30.0%	0.0%	44.0%
	Sub-total	1,703	52	613	627	58,547	114,762	5.4%	20.3%	67.0%	7.0%	0.3%
Other structures	Other structures	392	368	88	—	5,278	9,451	32.0%	15.0%	29.0%	24.0%	0.0%
	Sub-total	392	368	88	—	5,278	9,451	32.0%	15.0%	29.0%	24.0%	0.0%
Roads	Bridges	1,816	379	737	143	22,385	40,174	0.0%	0.0%	0.0%	0.0%	100.0%
	Footpaths	52	9	53	146	5,620	7,933	0.0%	0.0%	0.0%	0.0%	100.0%
	K&G	251	87	129	43	7,848	15,571	0.0%	0.0%	0.0%	0.0%	100.0%
	Roads	8,701	2,145	4,330	5,441	230,705	351,635	0.0%	0.0%	0.0%	0.0%	100.0%
	Earthworks	—	—	—	—	95,290	95,290	0.0%	0.0%	0.0%	0.0%	100.0%
	Sub-total	10,820	2,620	5,249	5,773	361,848	510,603	0.0%	0.0%	0.0%	0.0%	100.0%
Water supply network	Water supply network	1,538	591	535	667	36,140	62,864	10.0%	37.0%	46.0%	3.0%	4.0%
	Reservoirs	1,477	592	88	65	4,365	9,681	24.0%	8.0%	22.0%	15.0%	31.0%
	Pump Stations	44	—	44	12	784	1,239	44.0%	11.0%	27.0%	18.0%	0.0%
	Other	—	—	82	27	26	31	100.0%	0.0%	0.0%	0.0%	0.0%
	Sub-total	3,059	1,183	749	771	41,315	73,815	12.4%	32.7%	42.5%	4.8%	7.6%
Sewerage network	Sewerage network	1,523	18	247	75	27,714	44,178	24.0%	13.0%	43.0%	19.0%	1.0%
	Treatment Plant	2,541	1,270	381	368	16,346	25,279	70.0%	1.0%	4.0%	0.0%	25.0%
	Pump Stations	187	78	48	69	850	2,052	4.0%	13.0%	57.0%	7.0%	19.0%
	Other	552	276	127	45	378	1,758	0.0%	21.0%	0.0%	0.0%	79.0%
	Sub-total	4,803	1,642	803	557	45,288	73,267	38.7%	9.1%	28.9%	11.7%	11.6%

Report on Infrastructure Assets - Values (continued)

as at 30 June 2019

Asset Class	Asset Category	Estimated cost		2018/19 Required maintenance ^a	2018/19 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		Estimated cost to bring assets to satisfactory standard	to bring to the agreed level of service set by Council					1	2	3	4	5
Stormwater drainage	Stormwater drainage	71	1	43	215	8,210	23,154	2.0%	4.0%	93.0%	1.0%	0.0%
	Stormwater Pits	65	—	62	—	2,227	3,970	27.0%	3.0%	61.0%	9.0%	0.0%
	Stormwater Headwalls	59	—	1	—	726	1,110	56.0%	2.0%	16.0%	26.0%	0.0%
	Pollutant Traps	—	—	6	—	150	163	0.0%	0.0%	100.0%	0.0%	0.0%
	Other	—	—	16	—	153	292	0.0%	0.0%	100.0%	0.0%	0.0%
	Sub-total	195	1	128	215	11,466	28,689	7.5%	3.7%	85.7%	3.1%	0.0%
Open space / recreational assets	Swimming pools	839	291	361	133	4,618	8,870	0.0%	29.0%	46.0%	18.0%	7.0%
	Other	229	4	224	99	6,939	11,952	32.0%	16.0%	42.0%	10.0%	0.0%
	Sub-total	1,068	295	585	232	11,557	20,822	18.4%	21.5%	43.7%	13.4%	3.0%
TOTAL - ALL ASSETS		22,040	6,161	8,215	8,175	535,299	831,409	6.3%	7.4%	19.9%	3.1%	63.3%

(a) Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

1	Excellent/very good	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Satisfactory	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Report on Infrastructure Assets (continued)

as at 30 June 2019

\$ '000	Amounts 2019	Indicator 2019	Prior periods 2018 2017		Benchmark
Infrastructure asset performance indicators (consolidated) *					
Buildings and infrastructure renewals ratio ¹					
Asset renewals ²	8,752	57.15%	104.72%	78.57%	>=100.00%
Depreciation, amortisation and impairment	15,315				
Infrastructure backlog ratio ¹					
Estimated cost to bring assets to a satisfactory standard	22,040	4.12%	4.21%	6.46%	<2.00%
Net carrying amount of infrastructure assets	535,299				
Asset maintenance ratio					
Actual asset maintenance	8,175	99.51%	99.03%	97.82%	>100.00%
Required asset maintenance	8,215				
Cost to bring assets to agreed service level					
Estimated cost to bring assets to an agreed service level set by Council	6,161	0.74%	0.74%	1.06%	
Gross replacement cost	831,409				

(*) All asset performance indicators are calculated using classes identified in the previous table.

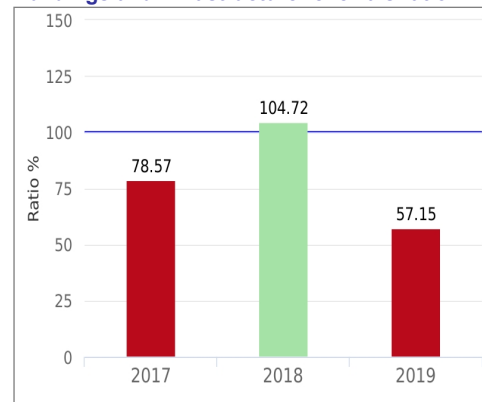
(1) Excludes Work In Progress (WIP)

(2) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Report on Infrastructure Assets (continued)

as at 30 June 2019

Buildings and infrastructure renewals ratio



Buildings and infrastructure renewals ratio

To assess the rate at which these assets are being renewed relative to the rate at which they are depreciating.

Commentary on result

18/19 ratio 57.15%

Following the revaluation of Building assets in 2017-18 there has been a significant increase in Buildings depreciation in 2018-19. Combined with a major increase in capital expenditure on new assets in this financial year this has seen a significant deterioration in the buildings and infrastructure renewals ratio this year. Council will need to reassess investment in renewal assets in the long term financial plan in order to achieve the benchmark.

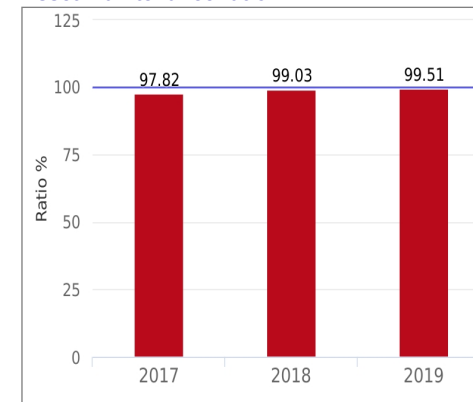
Benchmark: — $\geq 100.00\%$

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting #27

Ratio is outside benchmark

Asset maintenance ratio



Asset maintenance ratio

Compares actual vs. required annual asset maintenance. A ratio above 1.0 indicates Council is investing enough funds to stop the infrastructure backlog growing.

Commentary on result

18/19 ratio 99.51%

Council performance sits at the industry benchmark of 100% and indicates that Council is investing sufficient funds to prevent a growth in its infrastructure backlog.

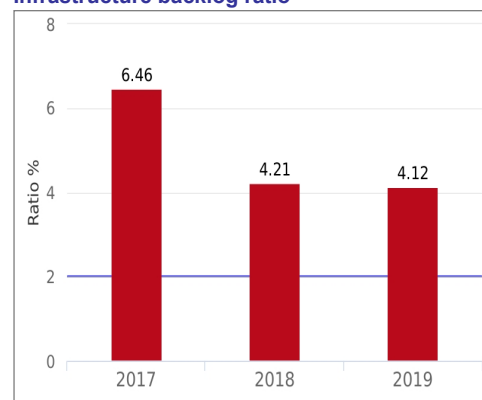
Benchmark: — $> 100.00\%$

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting #27

Ratio is outside benchmark

Infrastructure backlog ratio



Infrastructure backlog ratio

This ratio shows what proportion the backlog is against the total value of a Council's infrastructure.

Commentary on result

18/19 ratio 4.12%

Major investment in infrastructure in 2018 and 2019 has resulted in a significant improvement in this ratio over the past two years. The increased capital expenditure has been facilitated by significant increases in capital government grants. Despite the increase in capital expenditure Council is still operating below the industry benchmark.

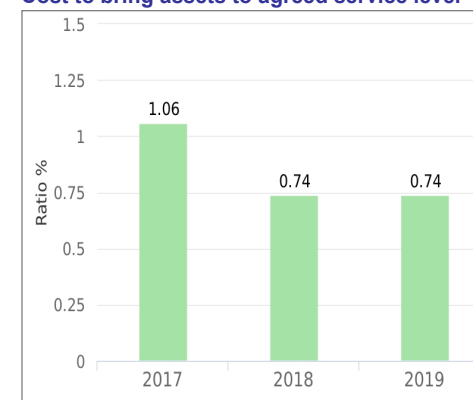
Benchmark: — $< 2.00\%$

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting #27

Ratio is outside benchmark

Cost to bring assets to agreed service level



Cost to bring assets to agreed service level

This ratio provides a snapshot of the proportion of outstanding renewal works compared to the total value of assets under Council's care and stewardship.

Commentary on result

18/19 ratio 0.74%

Council has maintained its performance on the cost to bring assets to an agreed service level compared with the 2018 financial year. As the level of Councils investment in new assets has been increasing it is expected that this ratio should continue to show some improvement.

Report on Infrastructure Assets (continued)

as at 30 June 2019

\$ '000	General fund		Water fund		Sewer fund		Benchmark
	2019	2018	2019	2018	2019	2018	
Infrastructure asset performance indicators (by fund)							
Buildings and infrastructure renewals ratio ¹							
Asset renewals ²	66.17%	123.21%	—	—	—	—	>=100.00%
Depreciation, amortisation and impairment							
Infrastructure backlog ratio ¹							
Estimated cost to bring assets to a satisfactory standard	3.16%	3.26%	7.40%	7.29%	10.61%	11.41%	<2.00%
Net carrying amount of infrastructure assets							
Asset maintenance ratio							
Actual asset maintenance	102.76%	102.65%	102.94%	101.89%	69.36%	65.99%	>100.00%
Required asset maintenance							
Cost to bring assets to agreed service level							
Estimated cost to bring assets to an agreed service level set by Council	0.49%	0.48%	1.60%	1.60%	2.24%	2.27%	
Gross replacement cost							

(1) Excludes Work In Progress (WIP)

(2) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

INDEPENDENT AUDITOR'S REPORT
Special Schedule - Permissible income for general rates
Hilltops Council

To the Councillors of Hilltops Council

Opinion

I have audited the accompanying Special Schedule – Permissible income for general rates (the Schedule) of Hilltops Council (the Council) for the year ending 30 June 2020.

In my opinion, the Schedule is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting – update number 27 (LG Code), and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule has been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2019 includes other information in addition to the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements, special purpose financial statements and Special Schedule 'Report on infrastructure assets as at 30 June 2019'.

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and the special purpose financial statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Schedule

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting, unless it is not appropriate to do so.

Auditor's Responsibilities for the Audit of the Schedule

My objectives are to:

- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

My opinion does not provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.

A handwritten signature in cursive script, appearing to read 'D Ryan'.

Dominika Ryan
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

1 May 2020
SYDNEY